

# CHAPTER ONE

## CONCEPTS AND FUNCTIONS OF MANAGEMENT

### Introduction

Over the years the concept management has been defined in different ways by different authors as a result of their exposure, intellectual experience, perception etc. But in whatever ways Management is defined it is geared towards getting things done in an effective and efficient manner.

### Concepts of Management

Scarcity of resource, high level of competition, and the desire to be at edge over other producers of goods and service are among other things that necessitated management in the business World. Management therefore is the process of coordinating and integrating work activities so that they are completed efficiently and effectively with and through other people.

It is an art of creating an environment in which people can perform either as an individual or as team towards attainment of group goals.

It is an art of knowing what to do, when to do and see that it is done in the best and cheapest way”.

Management is a purposive activity. It is something that directs group efforts towards the attainment of certain pre – determined goals. It is the process of working with and through others to effectively achieve the goals of the organization, by efficiently using limited resources in the changing world.

Management involves creating an internal environment: - It is the management which puts into use the various factors of production. Therefore, it is the responsibility of management to create such conditions which are conducive to maximum efforts so that people are able to perform their task efficiently and effectively. It includes ensuring availability of raw materials, determination of wages and salaries, formulation of rules & regulations etc.

Therefore, we can say that good management includes both being effective and efficient. Being effective means doing the appropriate task i.e., fitting the square pegs in square holes and round pegs in round holes. Being efficient means doing the task correctly, at minimum cost and wastage of resources.

James, et al (2002) in Ito do (2009) defined management as the process of planning, organising, leading, and controlling the work of organisation member and using all the available organizational resources to reach organizational goal.

Jones and George (2003) opine that management is “The planning, organizing, leading and controlling of the human and other resources to achieve organizational goal effectively and efficiently.

Nwachukwu (1998) sees it as a process demanding the performance of specific function. Koontz, et al (2001) see management as the process of designing and maintaining an environment in which individual working in groups, efficiently accomplish selected aims.

Itodo (2009) is of the opinion that it is an operational process of integrating the managerial responsibilities of planning, organizing, directing, controlling and decision making in the work process and the general environment in order to achieve the objective of an organization in the most appropriate manner. It could be concluded to say that management is the process of planning, organizing, staffing, directing, controlling and at the center of these process is decision making, regarding the organizational resources and these resources include material, finance, human, and information in order to achieve the organizational objective.

- The **material resources** is made up of plants, machineries, equipment, spare parts raw materials, purchase components, material-in-process or work-in-progress, finished goods, semi-finished goods, packaging materials, maintenance and repair, supplies scraps, rejected or rework materials, other materials used by the organisation either in raw or finished forms.
  - The **financial resources** are the funds available to the organisation to meet its daily, short term, and long term obligations as they fall due as well as to undertake investment
  - The **Human resources** are the people who perform or carry out the required functions and make things happen in and for the organisation.
- The **informational resources** relate to the facts and figures which forms the basis for the decision making process and the procedures and systems which drive the decision-making process

### Functions of Management

Management according to Fayol (1961) performs the following functions i.e. planning, organizing, coordinating and controlling. But Koontz, et al (2005) management functions are: planning, organizing, staffing, directing and controlling. Thus, because of the importance of decision making which is always at the centre of the other management functions should be included into current functions of management. Management functions therefore in a chronological order are: planning, organising, staffing, directing, controlling and decision making as illustrated in figure 1.1 below.

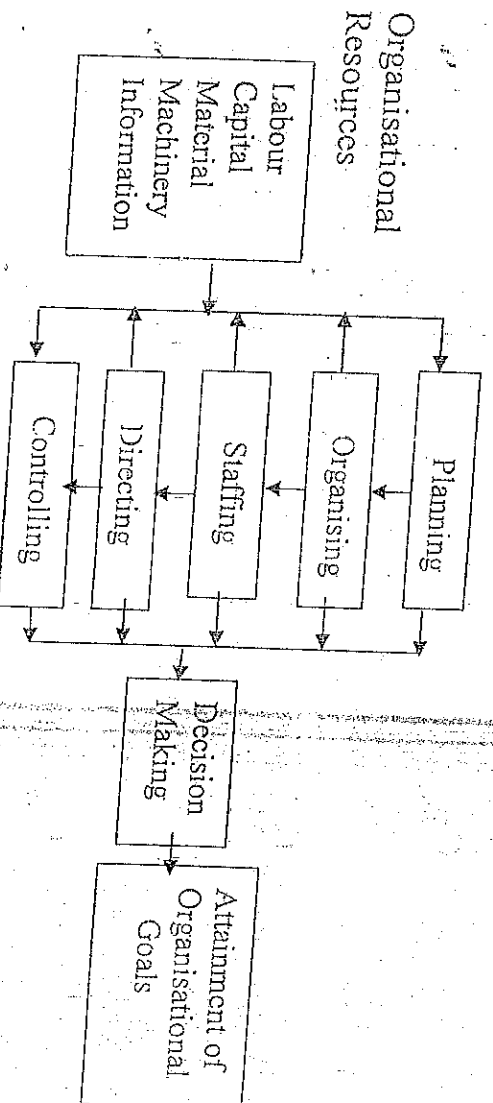


Figure 1.1 key Functions of Management

The figure depict that Planning, Organising, Staffing, Directing, and Controlling with Decision making at the center uses the organisational resources namely: labour, capital, material, machinery and information as input upon which the managerial functions capitalizes in order to attain organisational goals.

**The Derivative Functions of Management are:**  
Setting of objectives

Forecasting

Formulating and implementing policies  
Decision making

Leading

Motivating

Communicating

### Concept of Planning

Planning is the basic function of management. It deals with chalking out a future course of action & deciding in advance the most appropriate course of actions for achievement of pre-determined goals.

Planning is deciding in advance what to do, when to do and how to do. It bridges the gap from where we are and where we want to be".

A plan is a future course of actions. It is an exercise in problem solving and decision making.

Planning is determination of courses of action to achieve desired goals.  
Thus, planning is a systematic thinking about ways and means for accomplishment of pre-determined goals.

Planning is necessary to ensure proper utilization of human and non-human resources. It is all pervasive, it is an intellectual activity and it also helps in avoiding confusion, uncertainties, risks, wastages etc. it is the ongoing process of developing the business, mission and objectives and determining how they will be accomplished. Planning includes both the broadest view of the organization, e.g., its mission, and the narrowest, e.g., a tactic for accomplishing a specific goal.

David (2008) pointed out that, the only thing certain about the future of any organization is change, and, planning is the essential bridge between the present and the future that increases the likelihood of achieving desired results.

Planning is the process by which one determines when to attempt a task, work out the most effective way of reaching desired objectives, and prepare to overcome unexpected difficulties with adequate resources.

Planning is the start of the process by which an individual or business turns empty dreams into achievements. It enables one to avoid the trap of working extremely hard but achieving little.

Planning consist of all those managerial activities related to preparing for the future. Planning is a complex and comprehensive process involving a series of overlapping and interrelated elements or stages.

Planning is the process of designing a desired future.

the future of an individual or organisation the past, analyzing the present as well as preparing for developing policies, setting goals, and establishing objectives.

The specific tasks involved in planning are forecasting, formulating strategies,

## NATURE OF PLANNING

Planning is characterized by the following nature:-

1. Planning is goal oriented
2. Continuous and ongoing process
3. It is a pervasive function- It is done by managers at all levels
4. Flexible in nature
5. Intellectual process that involves choice and decision making
6. It is an integrating process-improper planning results in random activity

## TYPES OF PLANNING

Plans could be classified based on their breadth, time frame, business function, scope, and frequency of usage. Some of the basic types are

- I. Strategic plans
- II. Tactical plans
- III. Operational plans which falls into two general classes;
  - a. Single-use plans
  - b. Standing plans
- iv Time/Durational plan (Long term, medium term and short term plans)
- v Specific and directional plans.
- vi Plan with respect to breath/scope
- vii Contingency plans
- Viii Corporate plans

**Strategic plans:** these are plans that set the general goals or objectives and course of action for an organisation. Goal and Objective can both be defined as statements that reflect the end towards which the organisation is aiming to achieve. However, there are significant differences between the two. A goal is an abstract and general umbrella statement under which specific objectives can be obtained. Objectives are statements that describe in precise, measurable, and obtainable terms which reflect the desired organisation outcomes. It is the plan that establishes the vision and mission. a vision is a wishful statement of future accomplishment that provides direction to an individual, organisation. And it is answered by the question: what do I/we want to become. a mission is an enduring statement of purpose that differentiates one individual, organisation from another and its relationship with the environment, And it is answered by the question: (what is my/our business or What do I or we exist) all programmed decision of an organisation which includes strategies, rules and

regulation, policies are the outcome of strategic plans in an organisation. Other issues that involve strategic plans in an organization include the type of products or services to provide, how the products and services are to be offered, and how to handle issues related to competitors.

**Tactical plans:** A plan that is used to translate strategic plans into specific goals that are most relevant to a particular organizational unit. It is a unit of action plan that translate strategic plans into specific goals. The tactical plans also provide details of how the company or business unit will compete within its chosen business area. Middle managers have the primary responsibility for formulating and executing this plan. These plans are based on marketplace realities when developed for a business. The scope of tactical plans is broader than operational plans below, but not as broad as that of strategic plans.

**Operational plans:** This plan is more concerned with day-to-day operations. Thus, it is the nuts and bolts of doing business. Operational planning identifies the specific procedures and actions required at lower levels in the organization. This plan provides the details needed to incorporate tactical plans into the organization's day-to-day operations. It is the plan that provides the means through which the stated mission of the organisation could be achieved effectively and efficiently. Operational plans are plans that provide the detail needed to achieve the strategic plans. In practice, the distinction between tactical planning and operational planning is not clear-cut. However, both tactical plans and operational plans must support the strategic plan. Such as revamping manufacturing and marketing to capture a larger group of customers. Operational plan could come under two headings namely: - Single use Plan and Standing Plan

**Single-use plans**  
These are plans designed to achieve specific non recurring goals after which it is dissolved. It is a detailed course of action use once or occasionally to solve a problem that is not repetitive in nature, it is a plan designed to solve present situational problem. It is a plan made at a particular time to meet up with environmental challenges and some non programmed activities. Example of single-use plans are program, project, and budgets etc.

**Program:** is a single use plan that covers a relatively large set of organization's activities and specifies major step required to reach an objective, and also the organizational unit or member responsibility for each step, the order and timing of each step.

**Project:** these are smaller, separate portion of program, limited in scope and contain distinct goods from one warehouse to another. One related project might be to evaluate floor space of the warehouse where the goods will be transferred to.

**Budget:** these are statement of financial resource set aside for specific activities in a given period of time. It is the primary device for controlling an organization's activities.

**Standing plans**  
Whenever organization's activities kept on re-occurring or repeating itself, standing plan

could be used to handle those activities. Hence a standing plan is a pre established single decision or set of decision used to solve repetitive problems. Standing plan help managers conserve time because similar situation are handled in a predetermined consistent manner. It

is an established set of decision to deal with recurring organizational activities or problems. Examples of standing plans are policies, procedures and rules and regulations.

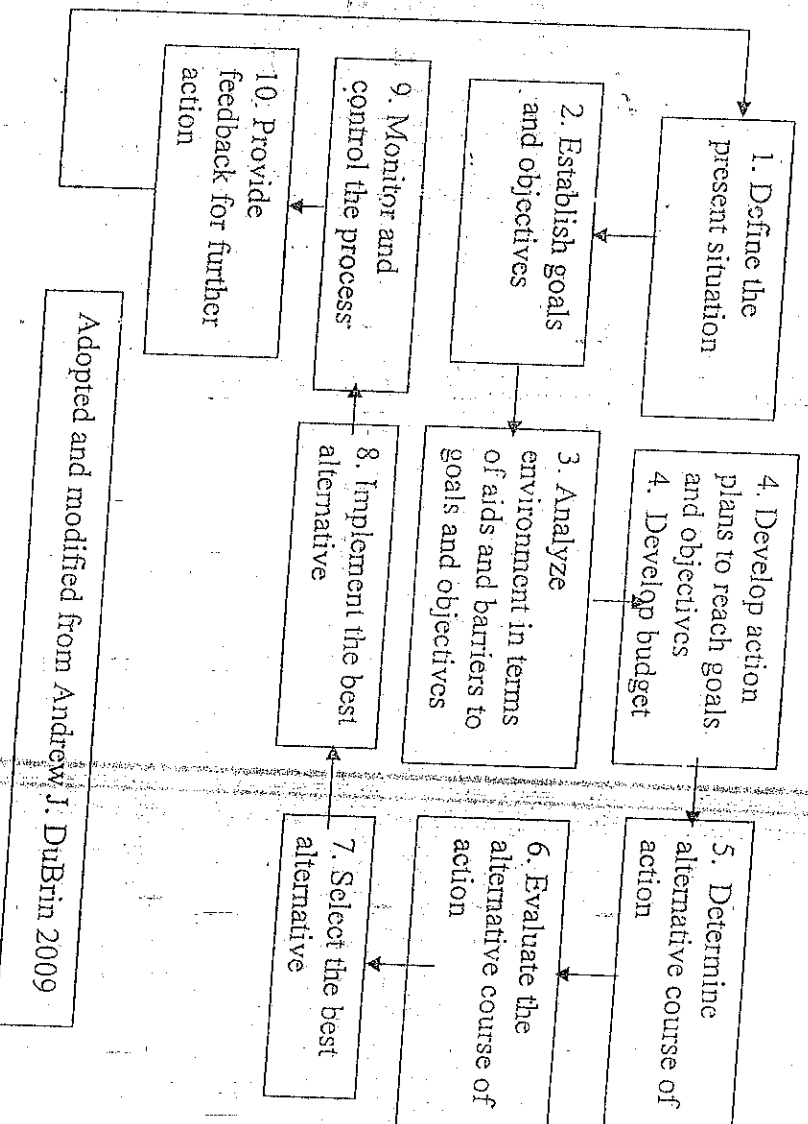
**Policies:** are standing plan that set a general guideline for decision making. It set boundaries around decision telling managers which decision can be made and which cannot be made. In this way it channels the thinking of organizational members so that it is consistent with organizational objectives.

**Rules:** a standing plan that details specific action to be taken in a given situation.

**Procedures:** standing plan that contain detailed guideline for handling organisation action that occurs regularly, it is a standard operation method which is just a detailed set of instructions for performing sequence of action that occurs often or regularly.

While strategic plan is a strategy formulation, operational plan and tactical plan is a strategy implementation.

The framework presented below summarizes the elements of planning. With slight modification the model could be applied to strategic, tactical, and operational planning. A planner must define the present situation, establish goals and objectives, and analyze the environment in terms of aids and barriers to goals and objectives. The planner must also develop action plans to reach goals and objectives, develop budgets, implement the plans, and control the plans.



Adopted and modified from Andrew J. DuBrin 2009

**Time/durational plan:** (Long Term, Medium Term and Short Term Plan) Long term, Medium term and short term plan also known as time/Durations plans are time based depending on the organization and industry. Long term plan may cover ten (10) years and above medium term are meant for the period of five (5) years while the short term plan is for one (1) year or less. As noted above, the time range differs from one organization or

another. What constitutes long term plan for one organization may likely be a short term plan for another.

**Specific and direction plans:** Specific plan are plan that are mainly design to achieve a particular objective. In other word, It is a plan that is used to addresses a specific objective e.g. to increase sale by 40% in the next one year. Directional plans are plan that, are flexible in nature and have diverse courses of action. That is a plan that can be used to address many problems.

**Contingency Plans:-** this planning involves identifying alternative plans or courses action that can be implemented if and when the original plan proves inadequate because of changing circumstances

**Corporate plans:** This could be regarded as strategic plan but here the plan view organization as a corporate whole rather than a collection of departments. Thus it is defined as a systematic and disciplined study designed to help identify the objective of any organization or corporate body, determine the appropriate target, decide upon suitable constraints and devise a practical plan by which the objectives could be achieved. It is a formal, logical method of running a business, which comprehensively covered all activities of an organization. It is a tool of management that guides the business toward achieving its stated objectives. Corporate planning is defined as the process of drawing up detailed action plans in order to achieve the aims and objectives of an organization. It takes into account organizational resources and the environment within which a company operates.

Corporate planning is the responsibility of **senior management** and there should be a structured approach to achieving objectives and implementing **corporate strategy**.

It is the process of drawing up detailed action plans to achieve an organization's goals and objectives, taking into account the resources of the organization and the environment within which it operates.

Corporate planning represents a formal, structured approach to achieving objectives and to implement the corporate strategy of an organization.

Success of the Plan depends how best the resources (strength and weakness) of the organization and the environment (opportunity and threats) have been critically analyzed.

In addition, modification in action plans prepared based on feedbacks is the key for success.

From a company's perspective, corporate planning involves formulating long term business goals so that the strategic planning of an enterprise may be developed and acted upon. Taken into account the following

### **Primary Focus**

Corporate and strategic planning focuses on efficiently and effectively achieving optimal performance from all business divisions, with actionable information provided to executive management in order to foster accountability and business growth.

## **Process**

The process of gathering data to prepare detailed action plans addresses a corporate organization's goals and objectives so that an actionable plan may be developed, usually by senior management.

### **Information Considered**

The resources of a business, company or organization is considered along with the environment in which it is operating. Statistical data including budget formulation and performance management is used in connection with business analysis and forecasting.

### **Planning**

A plan is developed using the determined information and resources including targets and milestones that corporate planning executives and managers may use to reach company goals and objectives.

### **Significance**

As a formal and structured approach, corporate planning can be instrumental in achieving strategic corporate goals and objectives for any kind of business organization.

## **PROCESS OF PLANNING**

Planning process varies from one organization to another but despite the variance the following are the logical processes in planning.

1. Identification or awareness of opportunities/threats
2. Establish goals and objectives
3. Developing premises
4. Determination of all alternative courses of action
5. Evaluating the alternative courses of action
6. Selecting the best course(s) of action
7. Implementation of the best course(s) of action
8. Control the planning activities
9. Feed back

**Awareness of Opportunities or threats:** - The first step in planning process is the identification of opportunities to be exploited or threats needed to be analysed and converted into opportunity. In other words, the first step is the identification of those parameter on which the planning decision will be based up on which are in form of opportunities or threats.

**Setting or Establishing of objectives/Plans:** Once the opportunities or threats have been identified the next thing is to establish or set objective/plans which are based on the



mission statement of the organization. While trying to take advantage of the opportunities and avoiding the threats established.

**Development of Premises:** This is the development of the environment within which the plan is to be prepared. In other word, all plans have specific environments within which they could function. It is therefore importance to understand and utilize consistent planning premises so that organization can stay coordinated on its operation.

**Determinations of all Alternative Courses of Action:** This is the search for and listing of promising one analyzed in order to eliminate the least promising one.

**Evaluation of the Alternative Courses of Action** This process involves comparing the different alternatives to see which one contributes greatly to the organizational goals and the most objective. While taking into account the opportunities and threats in the organization's environment.

**Selection of the Best Courses of Action:** This is the point that decision must be taken to either utilize one or more alternative course of action. It is the point where the best alternative is taken which is deemed promising to achieve the goals of the organization. It is important to follow several course of action than a single course of action.

**Implementation of the Best Courses of Action:** Unless if only the plan that has been selected and those things contained in the plan. This stage requires developing sub-plans from the master or strategic plan and turning the plans into numerical value.

**Controlling the planning activities:**  
Control in it ordinary sense refers to the measurement of performance against set standard in

order to identify deviation it answers questions such as; have things been done according in the plans? If things were not done as expected, what happened? This is important so that correction could be made before problem occurs.

**Feedback:** This is the reply information that tells the manager whether events confirm to plan or not. The information obtained signals whether to start or not to start the entire planning process over steps all over again.

## PRINCIPLES OF PLANNING

The fundamental principles that direct the course of activities when planning are:

**Futuristic in Nature:** That is a today's design for tomorrow's action.  
Principle of intellectual thinking that require, mental work, imagination and foresight.

Planning is continuous in nature and logical in order.

**Principle of contribution to objectives**  
Every plan has to contribute positively toward the accomplishment of enterprise objectives.

**Principle of efficiency of plans**  
Efficiency is measured by the contribution of the plan to objectives of the enterprise

minus the costs and unsought for consequences in formulating and implementing the plan.

**Principle of primacy of planning**

Planning is the primary prerequisite for all other functions of management.

action of the manager follows a planning step.

**Principle of planning premises**

If more people in an organization use common and consistent planning premises, the enterprise planning will be more coordinated.

**Principle of policy framework**

If more policies, appropriate to the organization, and if manages understand them the plans of the enterprise will be more consistent.

**Principle of timing**  
If plans are structured to provide a network of derivatives plans in sequence, there will be more effectiveness in attainment of enterprise objectives.

**Principle of alternatives**  
Select the plan which is the most effective and the most efficient to the attainment of a desired goal.

**Principle of limiting factor**  
Consider limiting factor in generating alternatives and selection from alternatives.

**The commitment Principle**  
Planning can cover a period over which commitment of resources can be clearly visualized.

**The flexibility Principle**  
Building flexibility in planning is beneficial, but cost of building flexibility needs to be evaluated against the benefits.

**The Principle of navigational change**  
Manager needs to periodically check events of the plan and redraw plans to maintain the move toward a desired goal.

**Principle of competitive strategies**  
In a competitive arena; it is important to choose plans in the light of what competitor will or will not do and navigate based on what competitors are doing or not doing.

## **THE BENEFITS OF PLANNING**

Several important benefits are associated with planning if properly undertaken. To begin with, planning requires manages to assess the external forces that affect the company. This helps the company respond to challenges present in the environment. The goal that is established as part of the plan gives the company member a sense of direction and purpose in that environment. Furthermore, when planning is properly conducted, it helps the management team to establish priorities, coordinate activities, develop standards, and clarify forces that will contribute to success. Effective planning processes result in increased participation by lower-level members. This in turn, led to improved managerial skills for all of the members of the company. Planning is the basis of control. Thus, well-designed plan sets the standards that will be used to assess performance at every level in the organizational hierarchy, both in the short term and over time. And finally, planning may help a firm reduce future uncertainty by anticipating what will happen in the future; forcing managers to think long term. These advantages are described in greater detail below.

**It helps Manager to assess External Forces that affect the Company**

One of the key aspects of planning is examining various environmental factors. This helps the firm deal with environmental uncertainty and identify both opportunities and threats present in the environment. Then the management team can mobilize resources to neutralize potential threats as well as take advantage of opportunities.

#### **Planning helps in Developing a Sense of Direction and Purpose**

Well-designed plan helps both managers and employees to understand that the organization is trying to achieve as well as the role that each plays in accomplishing those goals. Without a plan, managers and employees may not recognize how they share a common fate, even if they carry out the tasks they think are important. The lack of a clear sense of action leads to multiple and often conflicting goals and the ineffective use of resources.

#### **Identifying the Factors That Affect the Organization**

Properly conducted planning helps the organization focus on factors related to growth, renewal, and survival. Managers are able to reflect on issue that may not be obvious in the midst of day-to-day work pressures.

#### **Encouraging Participation**

When workers participate in managerial activities, they tend to be committed and work much harder to see that their effort succeeds. They also experience stronger feelings of commitment to the organization. The planning process is an excellent place to encourage managers and employees share inputs about the goals of the organization, and to find the best ways to achieve those goals. Participation is likely to strengthen the efforts dedicated to attaining those goals and increase goodwill toward their immediate supervisors and the overall company.

#### **Coordination of Efforts**

Managers who operate independently may not be aware of what other managers are doing. The planning activities provide an opportunity for managers to coordinate their efforts more effectively as that is one of the avenues they could share input as well as ideals.

#### **Establishment of Priorities**

Planning Can-help a Firm prioritizes its major problems or issues. Lack of priorities can dilute the organization's efforts or make it susceptible to managers who take advantage of the confusion to impose their own agendas. Also, the failure to define priorities causes the firm to drift and prevents it from developing a clear strategic focus.

#### **Focusing Attention on Different Time Horizons**

Many business programs may take years to complete. Steps can be taken to achieve long-term objectives by balancing them with short-term goals. Management should be able to successfully plan for both short- and long-term opportunities.

### **Understanding Circumstances Contributing to Past success or Failure**

It is vital for managers to learn from past successes and failures. Planning can bring the reasons for poor and good performance into sharper view enabling the firm to draw on experience.

### **Ensuring the Availability of Adequate Resources**

A well-designed plan leads to identifying the resources needed for the future. These resources may come from several sources. Such as using the research staff to develop multiple products line to achieve its new business objectives.

### **Establishing Performance Standards**

The end result of any planning process is a series of statements regarding objectives to be met along with expected activities. These criteria define expected behaviors for organizational members and allow for the assessment of progress. As time passes, the relative contributions of individuals and groups can be assessed and rewarded.

### **Supporting Organizational Control Systems**

Organizations cannot be successful unless control systems are in place to ensure that objectives are being attained and that resources are being used appropriately. A control is any process that helps align the actions of individuals with the interests of their employing firms. A control system is the knowledge that someone who knows and cares is paying attention to what we do and could tell us when deviations are occurring.

Effective planning improves a company's control system by making it possible to compare target versus actual results. When a gap is detected between company goals and observed results, corrective actions are taken to modify activities for the future. In a few extreme cases, the existing plan may be completely abandoned. When company executives fail to abandon a plan after large resources have been spent even though all available evidence suggests that the plan is not working, the problem is called **escalation of commitment**.

### **Developing "What if" Scenarios**

Organizations, like individuals, face a great deal of uncertainty. Planning could help managers deal with uncertainty by anticipating what may happen in the future. No firm has a crystal ball to accurately forecast the future. Planning could help identify different future scenarios and spell out what to do in each scenario. This is known as contingency planning.

### **Management Development**

Individual managers should play a major role in focusing the organization on the future. Planning helps managers to be proactive and forward-thinking rather than being reactive and just letting things happen. By considering future possibilities and developing a long-term vision, managers could become more committed to the firm and learn to convert abstract ideas or objectives into concrete actions. Including managers from every level of the organization in company planning processes is an effective form of "on the job" training. These planning experiences "season" managers, so they are able to move into more responsible roles in the future.

- i. It helps a firm achieve maximum effect from a given effort.
- ii. It helps a firm prepared for unexpected happenings.
- iii. It enables organization to take account of relevant factors and focus on them.
- iv. It enables a firm to gather necessary resources and use them efficiently.
- v. It is a cornerstone for effective strategy formulation.
- vi. It enables a firm to assess its strength and weakness.
- vii. Planning enables a firm to conserve its own resources avoids wastages and makes a fair profit.
- viii. Minimizes uncertainty and risk-helps in decision making
- ix. gives a clear view of the future-forecasting
- x. Leads to effective use of resources and economic operation

## THE PROBLEMS OF PLANNING

Company leaders will not realize the benefits of planning if the planning process itself is flawed. Future conditions can be forecasted incorrectly, reporting relationships can become overly hierarchical, planning can become a self-contained activity, and bureaucratization can become oppressive, and objectives and processes that are no longer optimal for the firm may be used. Each of this creates problem in planning activities

### Poor Forecasts of Future Conditions

It is so obvious that the business environment is changing faster than ever. Even the most sophisticated planning techniques may not predict accurately 'what is likely to happen in the future. The longer the timeframe, the more likely that unforeseen circumstances will occur. Where the future condition upon which plan is based is faulty the resultant planning outcome may likely gives incorrect result leading to impossibility in achieving plan objectives.

### Plans Imposed from Above

The traditional approach to planning is from the top down, with the CEO and senior executives, and perhaps a planning department, establishing organizational objectives and laying out general business strategies. Managers at lower organizational levels then devise implementation methods and operational plans to support the objectives and strategies set at the top. Separating the plan generators from the plan implementers often leads to the development of plans that lower level managers may find it difficult to put into practice.

Such plans often do not benefit from the wisdom and experience of those at lower levels within the firm. Many "reengineering" plans have failed in part because they were imposed on the rest of the firm by the top of the hierarchy.

### **Planning as a Self-Contained Activity**

There is a danger that the people engaged in planning will become so fascinated with the process that they become a close-knit group separated from the rest of the organization. Managers and employees may be cynical about objectives and suggestions for action emanating from specialized planning departments or units. When this arises it affects the success of the plans.

### **Extensive Bureaucratization**

When planning is conducted by specialists without the participation of other managers, there may be a tendency to generate volumes of paper work accompanied by fancy oral presentations. In other instances, plan becomes overly quantitative and formula driven. As a result, the logic behind the recommendations may be difficult to understand and may lack common sense. Because formulas that work relatively well in stable conditions may totally failed in turbulent times.

### **Inflexible Adherence to Objectives and Processes**

A firm may become overly committed to an outdated plan, ignoring clues that it is time to change direction. People tend to justify "sunk costs" by continuing to defend objectives in spite of disappointing results. As the previously established objectives become difficult to achieve as a result of changes in the environment, a firm is expected to change its plans.

## **KEYS TO SUCCESSFUL PLANNING**

Planning pitfalls described above could be avoided. Successful planning includes involving managers at different levels, using a combination of numerical and judgmental methods, viewing planning as a continuous activity capable of adapting to change, avoiding paralysis of the analysis, and concentrating planning efforts on a manageable set of issues.

### **Involving Different Organizational Levels**

To one degree or another, every level of management should be involved in planning. Planning cannot be viewed as the province of staff specialists or senior managers living in ivory towers. In general, both the quality of the plan and commitment to it are likely to increase when key managers and employees at various organizational levels contribute to its formulation and implementation.

### **Using both Numerical and Judgmental Methods**

Planning is as much an art as a science. An effective planning process requires a thorough understanding of interrelated environmental and organizational factors. These factors provide clues about where the firm should be moving in the future, the resources it has at its disposal, and the constraints it faces. While numerical data can be helpful, the numbers need to be carefully interpreted. There are situations in which numerical approaches are not suitable. Systematically tapping the knowledge of employees at different levels in the organization allows the firm to benefit their experiences and to profit from the collective judgment of company employees.

### **Viewing Planning as Continuous and capable of Adapting to Change**

Company leaders must be flexible enough to respond to changes in technology, competitors' reactions, international trends, and industry condition if the planning process is to be successful. Almost any objective and the steps to accomplish it are likely to become obsolete. Results should be monitored continuously to detect major deviations from initial assumptions and expectations. Planning should question if future directions, chosen alternatives, and priorities. In particular, the firm needs to guard against escalation of a failing course of action, as noted earlier. Past choices and sunk costs should not entice the firm to continue investing in a plan when there is sufficient evidence to question the wisdom of that plan.

Firms use a variety of approaches to keep objectives and action plans attuned to changes in internal and external environments. These include scheduled retreats of key managers and employees, workshops led by consultants, Environmental scanning. The use of two-way feedback between managers and employees in the performance appraisal process, and the creation of standing cross-functional committees composed of executives and key employees to monitor progress, identify current or emerging problems, and recommend corrective actions.

In some cases the firm must react quickly to deal with unforeseen circumstances. Even with the best-made plans, managers of successful firms are often called to act by "the seat of their pants" to confront crisis situations that seem to come from nowhere.

### **Avoid Paralysis of the Analysis**

An Obsession with paperwork, technical reports, statistical tables, and other supporting documentation causes paralysis by analysis. Plans only succeed when those responsible accept the plan and become devoted to seeing it implemented effectively. The key to successful planning is action, not becoming bogged down in overanalyzing every detail.

### **Concentrating on a Manageable Set of Issues**

It is important to limit planning to key priority areas. a good way to identify these key areas is to focus on the firm's core competence or the resources that enable it to do things better than competitors. This keeps planning from being a "pie in the sky" exercise and anchors it to the firm's strengths. Besides simplifying the planning task, it will make plans easier to

explain, since managers and employees will be cognizant of the problems, challenges, alternatives, and priorities being addressed. Moreover, the levels of risk and uncertainty are lowered since the plan is confined to areas about which the firm has information and experience, reducing the probability of unpleasant surprises.

### Main Pitfalls of Planning

The main pitfall from which all others derive is falling into the delusion that planning can determine outcome.

- **planning is only as good as the information on which it is based.** Too often, groups rely on untested assumptions or hunches, erecting their plans on unsteady ground.
- **planning isn't magic: you can't always get what you want.** Frequently, "organizations contemplating new initiatives begin by writing the last page of their plans, the one where everyone lives happily ever after. But the process of planning is one of research and investigation. Considering a major expansion of activity means taken stock of organizational readiness in many ways. Is there an audience or constituency? Do you have access to the policymakers? Are the material resources adequate? The time required to do it right? Planning is a tool that can help you decide whether to go forward, not just how. If the answers to key questions are "no," then the outcome of planning should be to postpone the contemplated expansion, working toward readiness to tackle it farther down the road.
- **plans are adaptable.** An organization isn't an artifact to be set in place with planks and nails. In contrast to a construction project, organization-building is never complete; an organization's choices are to continuously adapt or die. Rather than planning as if the future were pre-determined, plan for flexibility. Plans that can't be changed shouldn't be written.
- **put planning in its place and time.** Some groups don't recognize that it takes time and effort to plan well. They want the results but aren't able or willing to make the investment. They end up in the worst of both worlds: their ongoing work is set back because they took time to plan without thinking through the implications and their too-rushed plans end up meaningless. Be realistic about what you can invest. Find a way to plan that suits your available resources -- time, energy, money.
- **groups can be blindsided by the issues that planning reveals.** There's a mollifying rhythm to the daily grind, as diligence, deadlines, and distractions keep tensions and conflicts at bay. When an organization pauses to plan, what's been submerged may come up for air. When an organization undertakes to plan, everyone should be made aware that issues may arise that need talking through, that there may be moments of heat, struggle, and even head-on collision. Your planning process should include the time, focus, and talent for the mediation needed to resolve such conflicts, so you can turn to face the future as a team.
- **writing it up in plan speak rather than plain language undoes the good of planning.**



## CHAPTER TWO

### Introduction

### CONCEPT OF ORGANISING/ ORGANISATION

Any organization consists of Men, Materials, Machines and Informational resources which must be brought together to produce greater value. In order to achieve that, tools, machinery, equipment, labour, finance and technology required must be provided. In addition to that, management must set up the best structure, and relationship amongst individual that will use the resources to achieve the best. It is therefore important that managers get use to the most effective and efficient arrangement of men and materials so that the organization can achieve its desired goal.

### Concept of Organising and Organisation

Organizing could be referred to as an organization. Where it is an organization, it means a group of people bounded together to provide unity of action for the achievement of predetermined objectives.

Organisation is the foundation upon which the whole structure of management is built. Organisation is related with developing a frame work where the total work is divided into manageable components in order to facilitate the achievement of objectives or goals. Thus, organisation is the structure or mechanism (machinery) that enables humans or living things to work together.

Mullin (2005) described organisation as consciously coordinated unit created by group in society to achieve specific purposes common aims and objectives by means of planned and coordinated activities.

Organisations are created by people who decide to work together in order to attain their specific objectives.

In a static sense therefore, an organisation is a structure or machinery manned by group of individuals who are working together towards a common goal.

But in a broad sense, the term 'organisation' is used in four different ways:

As a Process,

As a Structure of Relationship,

As a Group of Persons and

As a System,

**Organisation as a Process:** Here organisation is treated as a dynamic process and a managerial activity which is essential for planning the utilization of company's resources, plant and equipment, materials, money and people to accomplish the various objectives.

**Organisation as a Framework of Relationship:** organisation is refers to the structure of relationships and among position jobs which is created to release certain objectives. "Organisation is the form of every human association for the attainment of a common purpose."

**Organisation as a Group of persons:** organisation is very often viewed as a group of persons contributing their efforts towards certain goals. Organisation begins when people combine their efforts for some common purpose. It is an identifiable group of people contributing their efforts towards the attainment of goals.

**Organisation as a System:** In the fourth sense, the organisation is viewed as system. System concepts recognize that organizations are made up of components each of which has unique properties, capabilities and mutual relationship. The constituent elements of a system are linked together in such complex ways that actions taken by one have far reaching effect on others. In a more specific expressions organisation may be define.

As a group of individuals, large or small, that is cooperating under the direction of executive leadership in accomplishment of certain common object.

It is a system of co-operative activities of two or more persons.

It is the process of identifying and grouping the work to be performed, defining and delegating responsibility and authority, and establishing relationship for the purpose of enabling people to work most effectively together in accomplishing objectives.

It is the form of every human association for the attainment of a common purpose.

But where it is used in its original form, "**organizing**", it is the establishment of the internal organizational structure of the enterprise that focuses on division, coordination, and control of tasks and the flow of information in and within the organization. It is in this function that managers distribute authority to job holders. In short, organizing is the determination,

grouping and arranging of the various activities deemed necessary for the attainment of the objectives, the assigning of people to those activities, the providing of suitable physical factors of environment and the indicating of the relative authority delegated to each individual charged with the execution of each respective activity.

It is a deliberate effort or a process of breaking down the enterprise into different structure in order to achieve the stated objective. It involves choosing the work to be done and who should do it. How these works are to be grouped and who should report to whom. In other word, organizing means determining who does what and who report to whom.

It is the process of bringing together physical, financial and human resources and developing productive relationship amongst them for achievement of organizational goals. According to Henry Fayol, "To organize a business is to provide it with everything useful or its determining i.e. raw material, tools, capital and personnel's". To organize a business involves Organizing as a process involves:

- Organizing as a function of management consist of three sequential activities
  - Breaking down tasks into job; job description and job specifications (work specialization)
  - Combining jobs to for departments (departmentalization) and
  - Delegating authority, combining jobs to form department comes up with organizational structures.

### **Characteristics / Features of Organisation**

The main characteristics or features of organisation are as follows:

**Outlining the Objectives:** Born with the enterprise are its long-life objectives of profitability, manufacturing, and selling its products. Other objectives must be established of the administration from time to time to aid and support this main objective.

**Identifying and Enumerating the Activities:** After the objective is selected, the management has to identify total task involved and its break-up closely related component activities that are to be performed by and individual or division or a department.

**Assigning the Duties:** When activities are been grouped according to similarities and common purposes, they should be organized by a particular department. Within the department, the functional duties should be allotted to particular individuals.

**Defining and Granting the Authority:** The authority and responsibility should be well defined and should correspond to each other. A close relationship between authority and responsibility should be established.

**Creating Authority Relationship:** After assigning the duties and delegation of authority the establishment of relationship is done. It involves deciding who will act under whom, who will be his subordinates, what will be his span of control and what will be his status in the

organisation. Besides these formal relationships, some informal organizations should also be developed.

**Importance / Needs / Advantages / Significance of Organisation**

Since ages and in every walk of life, organisation has been playing a vital role. The significance or main advantages of organisation are as follows:

**It Facilitates Administration and management activities:** Organisation is an important and the only tool to achieve enterprise goals set by administration and explained by management. Sound organisation increases efficiency, avoids delay and duplication of work, increases managerial efficiency, increases promptness, and motivates employees to perform their responsibility.

**It Help in the Growth of Enterprise:** Good organisation is helpful to the growth, expansion and diversifications of the enterprise.

**It Ensures Optimum Use of Human Resources:** Good organisation establishes persons with different interests, skills, knowledge and viewpoints.

**It Stimulates Creativity:** A sound and well-conceived organisation is the source of creative thinking and initiation of new ideas.

**A Tool of Achieving Objectives:** Organisation is a vital tool in the hands of the management for achieving set objectives of the business enterprise.

**Prevent Corruption:** Usually corruption exists in those enterprises which lack sound organisation. Sound organization prevents corruption by raising the morale of employees. They are motivated to work with greater efficiency, honesty and devotion.

**Co-ordination in the Enterprises:** Different jobs and positions are welded together by structural relationship of the organisation. The organizational process exerts its due and balanced emphasis on the co-ordination of various activities.

**Eliminate Overlapping and Duplication of work:** Overlapping and duplication of work exists when the work distribution is not clearly identified and the work is performed in a haphazard and disorganized way. Since a good organisation demands that the duties be clearly assigned amongst workers, such overlapping and duplication is totally eliminated.

**Purpose of Organizing or Organization**

The purpose of organizing or organization is to achieve coordinated effort by defining task and authority relationships. Organization as a collection of activities and a function of management involves the arrangement of people, task and materials which are necessary for putting plans into operation so that organizational goals can be achieved.

## **ORGANIZING PROCESS**

Organizing in management requires managers to perform the following process of responsibilities. These are:

1. Designing the organizational structures to be use by the enterprise.
2. Classification of work into various duties.
3. Grouping the duties into various posts.
4. Grouping the various post into various posts.
5. Assigning authority to each unit or department in accordance with the responsibilities attached to that unit or department.
6. Appointing of qualified personnel to perform the task given to each unit or organization.
7. Defining relationship, span of control and the channels of communication in the organization.
8. Ascertaining the physical facilities and other resources that will sustain the tasks in the organization.

## THE ORGANIZATIONAL STRUCTURES

Organizational structure emanate from combining jobs to form departments. Thus, it is a formal structure that shows the relationships, responsibilities and divisions in an organization. It is a structure of relationship existing between top management, middle and lower management as well as rank and file employees. It is a system that defines the responsibilities, tasks and the coordinated relationship existing between the organizational members in the course of pursuing the organizational goals

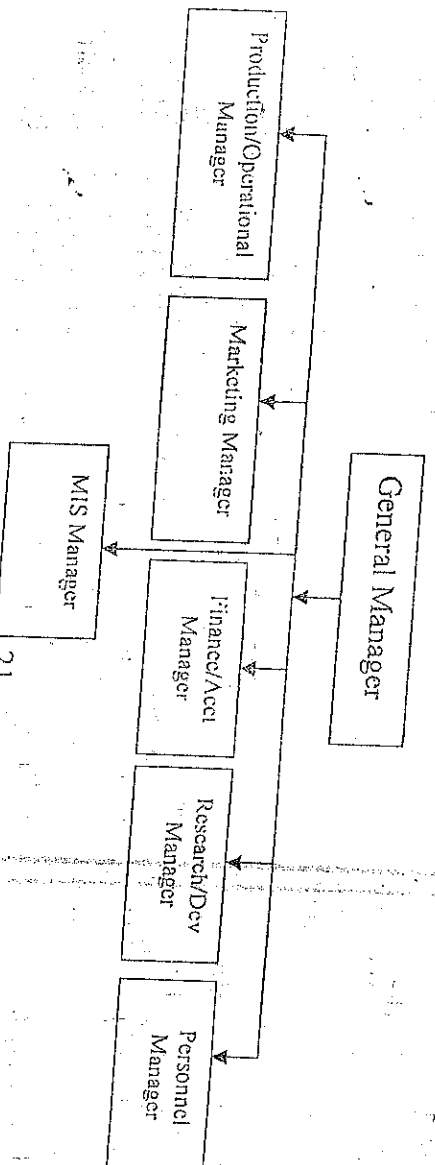
## TYPES OF ORGANISATIONAL STRUCTURES

The basic types of organizational structure available are:

- i. Functional organisational structure
- ii. Divisional structure by geographical area
- iii. Divisional structure by product/services
- iv. Divisional structure by customer
- v. Divisional structure by process
- vi. Divisional structure by strategic business unit
- vii. Matrix structure.

### Functional Organisational Structure

This structure groups tasks or activities in accordance with the functions of the enterprises. Here tasks and activities are grouped based on business functions such as production/operation, marketing, finance/accounting, research and development, personnel, management information system etc.



### Advantages of functional Structure

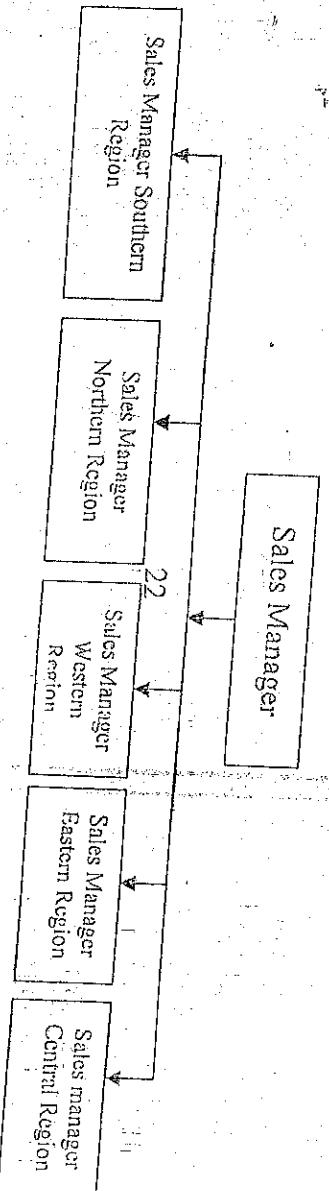
1. Easy to understand
2. Can be used in any sized organisation
3. Responsibilities are clearly defined
4. Can be expanded to include other functional areas.
5. Operational flexibility: Functional Organisation possesses operational flexibility. Necessary changes can be introduced easily to suit the needs of the situation without any adverse effect on the efficiency.
6. Increase specialization: Functional Organisation structure facilitates division of work and specialization. Each boss has specialized knowledge of his functional area. He is in a better position to guide and help the workers.
7. Facilitates effective coordination: Functional Organisation facilitates effective coordination within the function. This is possible as one boss is in-charge of a particular function and he looks after all activities, which come within that function.
8. Insures effective supervision: Functional Organisation facilitates effective supervision by the functional heads and foremen. Due to specialization, they concentrate on the specific functional area and also keep effective supervision on their subordinates.
9. Benefits of large-scale operations: Functional Organisation offers the benefit of economy of large-scale operation. In this Organisation, one administrative unit manufactures all products. The available machinery, equipment and facilities are used fully for large-scale production.

### Disadvantages of functional Structure

1. It is difficult to know which products is profitable
2. If the manufacturing is in one location, transportation and distribution costs could be high to get the products to the customer.
3. Unsuitable to non-manufacturing activities
4. Fixing responsibility is difficult
5. Absence of unity of command
6. Confusion among workers and Conflicts among foremen may result

### Divisional Structure by geographical area

This is the type of structure that divides its divisions and units based on the physical location of a given area. This type of structure is most appropriate for organizations that have smaller branches located in different geographical area. The divisions can take the



### Advantages of geographic structure

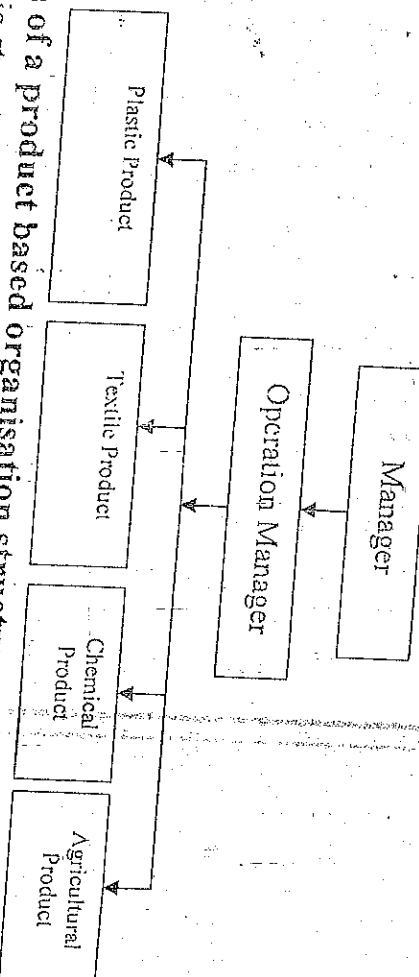
1. Suitable for companies that relies heavily on direct sales.
2. It suitable to Consumer product companies that sometimes decentralize sales and marketing functions because consumer tastes vary per region.
3. A geographically decentralized organizational structure can also be more effective because production facilities are spread out.
4. It is most appropriate for organizations with smaller branches located in different geographical area.
5. Transportation and distribution costs could be less to get the products to the customer.
6. It reduces Confusion among workers and Conflicts among foremen.

### Disadvantages of geographic structure

1. It lead to difficulty in maintaining uniform policy and decisions
2. It is costly to practice
3. It lead to duplication of production facilities
4. It could only be practice by organisation with many specialists.
5. Cannot be used in any sized organisation
6. Operational flexibility is difficult Necessary changes cannot be introduced easily to suit the needs of the situation without any adverse effect on the efficiency.

### Divisional Structure by Product/Services

This type of structure is used by organization that has few and differentiated product line which need special emphasis. Example is



### Advantages of a product based organisation structure

1. This structure gives focus on individual products, which may be especially appropriate if different products have different problems and concerns.
2. Each group can be run as a separate profit centre. This way, healthy competition and rivalry can develop between 'teams' which can help motivation and productivity.

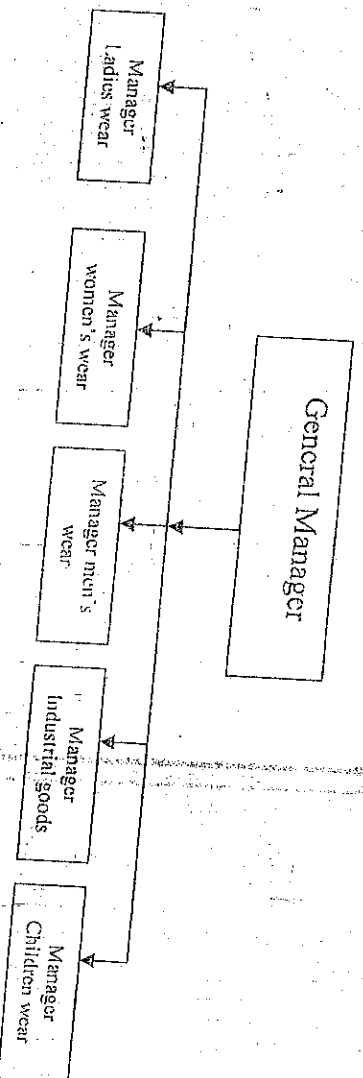
3. It is also flexible in that poorly performing groups can be closed down without too much disruption to the rest of the organization.
4. These smaller profit centers allow for rapid decision making and greater independence.
5. Product organization structure is most common in companies such as retail stores, appliances, food or electronics. This helps owners and managers run their operations more efficiently.
6. Employees in each division are specialists; hence they know their product from manufacturing to sale and to accounting for it.
7. It is easy to see which products are profitable since each area will likely be set up as profit centre.
8. Could set up the different products in different geographical area.

#### **Disadvantages of a product based organisation structure**

1. Can only work in a large organisation as they will be manufacturing department for plastic product, textile, chemical and agricultural products.
2. Employees cannot move easily from one department to another since those departments are specialized and operate almost as completely separate division.
3. It can only work where there are many specialists.

#### **Divisional Structure by Customer**

This structure divides the organization based on customers so as to cater effectively to their requirements. In other words, this division is aimed at servicing the group of customers by producing qualitative products and services. Example of customer structure is:



#### **Advantages of a customer based organisation structure**

1. In Customer oriented structure adequate attention is given to individual customers.
2. Products can be changed to suit the individual group of customers.
3. Each product line can be seen clearly and its profitability determined since each is set up as profit centre.
4. Can set up division in different geographical area.

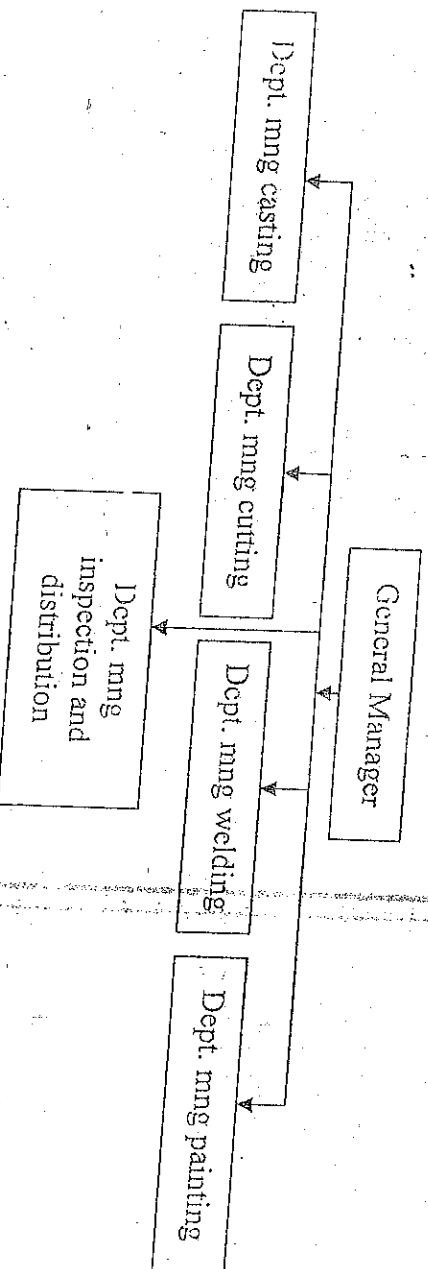


### Disadvantages of a customer based organisation structure

1. Need to have more than one product line, usually different product.
2. It must have specialized operation.
3. Duplication of resources
4. It requires many specialists to be effective.

### Divisional Structure by Process

This is the structure that divides the organization using the work flow, production process and technical needs of the product. This structure is similar to a functional structure, because activities are organized according to the way work is actually performed.



### Matrix Organisation - Meaning

Matrix Organisation was introduced in USA in the early 1960's. It was used to solve management problems in the Aerospace industry.

Matrix Organisation is a combination of two or more organisation structures, For example, Functional Organisation and Project Organisation.

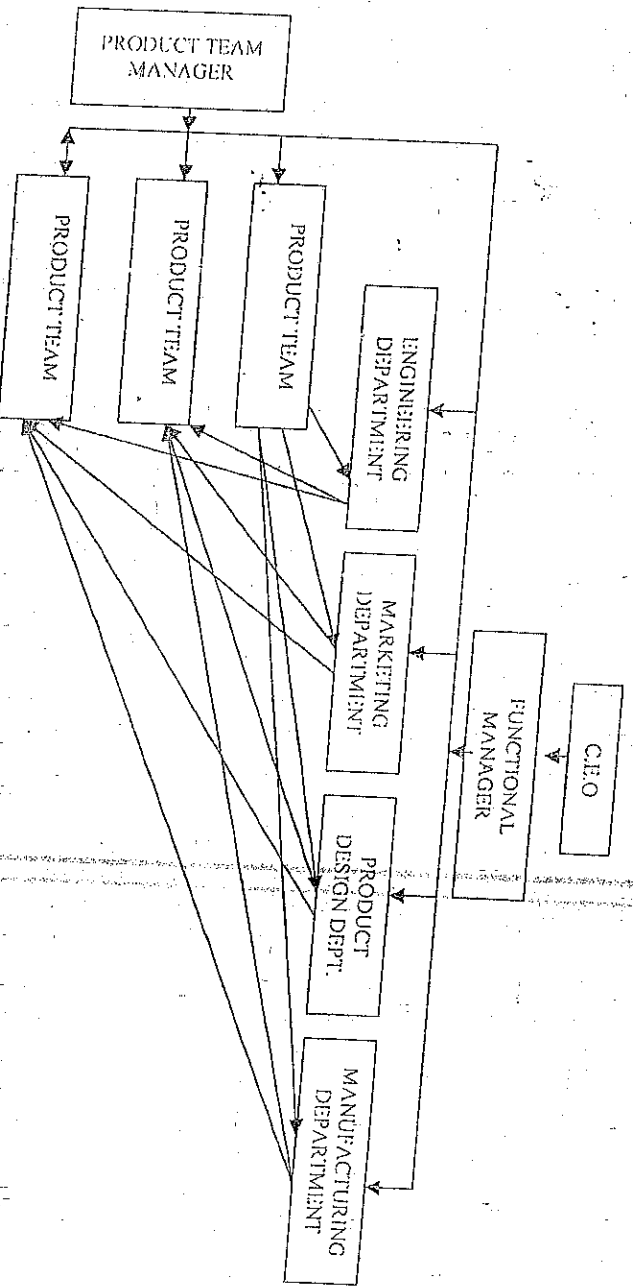
The organisation is divided into different functions, e.g. Purchase, Production, R & D, etc. Each function has a Functional (Departmental) Manager, e.g. Purchase Manager, Production Manager, etc.

The organisation is also divided on the basis of projects e.g. Project A, Project B, etc. Each project has a Project Manager e.g. Project A Manager, Project B Manager, etc. Each

The employee has to work under two authorities (bosses). The authority of the Functional Manager flows downwards while the authority of the Project Manager flows across (side wards). So, the authority flows downwards and across. Therefore, it is called "Matrix Organisation". Is an organizational structure that facilitates the horizontal flow of skills and information. It is used mainly in the management of large projects or product development processes, drawing employees from different functional disciplines for assignment to a team without removing them from their respective positions.

Employees in a matrix organization report on day-to-day performance to the project or product manager whose authority flows sideways (horizontally) across departmental boundaries. They also continue to report on their overall performance to the project or department whose authority flows downwards (vertically) within his or her department. In addition to a multiple command and control structure, a matrix organization necessitates new support mechanisms, organizational culture, and behavior patterns. Developed at the US National Aeronautics & Space Administration (NASA) in association with its suppliers, this structure gets its name from its resemblance to a table (matrix) where every element is included in a row as well as a column.

An example of matrix organisation is shown in the following diagram:-



### Features of Matrix Organisation

The peculiarities or characteristics or features of a matrix organisation are:-

**Hybrid Structure:** Matrix organisation is a hybrid structure. This is so, because it is a combination of two or more organisation structures. It combines functional organisation

with a project organisation. Therefore, it has the merits and demerits of both these organisation structures.

**Functional Manager:** The Functional Manager has authority over the technical (functional) aspects of the project.

The responsibilities of functional manager are:-

1. He decides how to do the work.
2. He distributes the project work among his subordinates.
3. He looks after the operational aspects.

**Project Manager :** The Project manager has authority over the administrative aspects of the project. He has full authority over the financial and physical resources which he can use for completing the project.

The responsibilities of project manager are:-

1. He decides what to do.
2. He is responsible for scheduling the project work
3. He co-ordinates the activities of the different functional members.
4. He evaluates the project performance.

**Problem of Unity of Command:** In a matrix organisation, there is a problem of the unity of command. This is so, because the subordinates receive orders from two bosses viz., the Project Manager and the functional Manager. This will result in confusion, disorder, indiscipline, inefficiency, etc. All this will reduce the productivity and profitability of the project.

**Specialization:** In a Matrix organisation, there is a specialization. The project manager concentrates on the administrative aspects of the project while the functional manager concentrates on the technical aspects of the project.

**Suitability:** Matrix organisation is suitable for multi-project organisations. It is mainly used by large construction companies, which construct huge residential and commercial projects in different places at the same time. Each project is looked after (handled) by a project manager. He is supported by many functional managers and employees of the company.

### **Advantages of Matrix Organisation**

The benefits or merits or advantages of a matrix organisation are:-

1. **Sound Decisions:** In a Matrix Organisation, all decisions are taken by experts. Therefore, the decisions are very good.
2. **Development of Skills:** It helps the employees to widen their skills. Marketing people can learn about finance, finance people can learn about marketing, etc.
3. **Top Management can concentrate on Strategic Planning:** The Top Managers can spend more time on strategic planning. They can delegate all the routine, repetitive and less important work to the project managers.
4. **Responds to Changes in Environment:** Matrix Organisation responds to the negative changes in the environment. This is because it takes quick decisions.
5. **Specialization:** In a matrix organisation, there is a specialization. The functional managers concentrate on the technical matters while the Project Manager concentrates on the administrative matters of the project.

6. **Optimum Utilisation of Resources:** In the matrix organisation, many projects are run at the same time. Therefore, it makes optimum use of the human and physical resources.
7. **Motivation:** In a matrix organisation, the employees work as a team. So, they are motivated to perform better.
8. **Higher Efficiency:** The Matrix organisation results in a higher efficiency. It gives high returns at lower costs.

### **Limitations of Matrix Organisation**

The demerits or disadvantages or limitations of a matrix organisation are:-

1. **Increase in Work Load:** In a matrix organisation, work load is very high. The managers and employees not only have to do their regular work, but also have to manage other additional works like attending numerous meetings, etc.
2. **High Operational Cost:** In a matrix organisation, the operational cost is very high. This is because it involves a lot of paperwork, reports, meetings etc.
3. **Absence of Unity of Command:** In a matrix organisation, there is no unity of command. This is because, each subordinate has two bosses, viz., Functional Manager and Project Manager.
4. **Difficulty of Balance:** In a matrix organisation, it is not easy to balance the administrative and technical matters. It is also difficult to balance the authority and responsibilities of the project manager and functional manager.
5. **Power Struggle:** In a matrix organisation, there may be a power struggle between the project manager and the functional manager. Each one looks after his own interest, which causes conflicts.
6. **Morale:** In a matrix organisation, the morale of the employees is very low. This is because they work on different projects at different times.
7. **Complexity:** Matrix organisation is very complex and the most difficult type of organisation.
8. **Shifting of Responsibility:** If the project fails, the project manager may shift the responsibility on the functional manager. That is, he will blame the functional manager for the failure.

As noted earlier every organization tends to adopt different form of structure depending on which type of structure contributes to its effectiveness.

## CHAPTER THREE

### ORGANIZATIONAL OR MANAGEMENT THEORIES

#### Introduction

Numerous approaches have contributed to the development of current management thoughts. Like many fields of study, management is characterized by various points of view and argument which has contributed in bringing orderly thinking to the discipline management. Management theories are therefore grouped under the following views.

1. **Classical View Point.** This view point emphasizes finding ways to manage work in an organisation more efficiently. This view point is termed classical because it is made up of early works and related contribution of scholars that have formed the main background of the discipline management today.

Under this view point we have

- (a) Scientific Management Theory
  - (b) Bureaucratic management Theory
  - (c) Administrative management theory
2. **Behavioural view point.** This emphasizes the importance of understanding the various factors that affect human behaviour in an organisation. Here we have the following theories

- (a) Early Behaviourist
  - (b) Hawthorne study
  - (c) Human relation movement
  - (d) Behavioral science approach
3. **Quantitative View point** here emphasis are placed on the use of mathematics, statistics, and information aid to support management decision making and organisation effectiveness. This view point comprises of:

- (a) Management Science or Operational Research
  - (b) Operation management
  - (c) Management information system
4. **Contemporary view point.** These are called contemporary because they represent major innovation in the ways of thinking in the discipline management. Here we have what is called

- (a) System theory
  - (b) Contingency theory
5. **Dynamic Engagement**

#### System Theory

System theory is called contemporary view points because it represents major innovation in the ways of thinking about management.

Here the system theory approaches is based on the notion that organization could be looked at as a system or an entity of interrelated part that operates independently but collectively pursuing a common goals.. That means when one part of the system is adjusted, other parts will be affected automatically. In other word system theory viewed organization as achieving common goals. Various subsystems in a system are

1. Production/technical subsystem
2. Supportive subsystem
3. Maintenance subsystem
4. Adaptive sub-system & managerial sub-system

**Production/technical:** this subsystem provided the primary function or purpose of the organization e.g. production line of industrial enterprises.

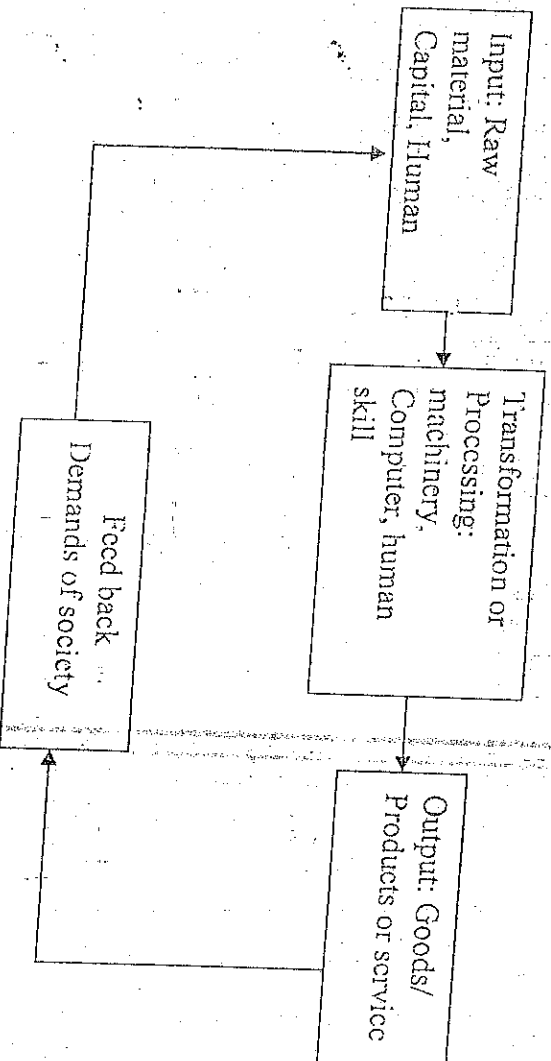
**Supportive sub system:** supports the production sub-systems e.g. Procures the inputs and resource or disposes of products.

**Maintenance sub-system:** this subsystem is saddled with the responsibilities of determining the role to be undertaken by individuals, rules to be followed and reward system necessary for the workers working in the organisation.

**Adaptive sub-system:** These subsystems ensure that organization adapt to changing circumstances in the environment.

**Managerial sub system:** it is the subsystem that control and coordinate the activities of the entire system. It coordinates the other sub system, settle disputes or conflict and balance external requirement with the internal strength and resource of organisation.

- Organization system has 4 major components there are:
1. Inputs
  2. Transformation
  3. Output
  4. Feedback



System are grouped into two: Open system and close system  
 Open system is a system that operates in contrivable interaction with its environment. It is a system that allows interaction with external environment and received feedback. While close system is a system that does not interaction with external environment and hence do not received feedback or information from outside

**Key concepts of systems perspective are:**

**Entropy:** A concept of the systems approach in management that states an organisation will run down or die if it does not receive fresh inputs from the outside environment. The organisation must continually receive inputs from the outside environment. The tune with, or ahead of, the environment.

**Synergy:** A concept of the system approach in management that states that the whole is greater than the sum of the parts. When the various parts of an organisation works together, they can produce much more than they could when working independently.

**Differentiation:** is the tendency of a system especially open system to become more complex to handle because of the continuous interaction with the outside environment.

**Contingency Theory:**

A perspective of management that emphasizes that there is no single or unique way to manage people or work is best in every situation. It encourages managers to study individual and situational differences before deciding on a course of action.

In other word, this theory argues that appropriate management action and decision should be based on the particular circumstance surrounding the situation. Contingency theory attempts to identify contingency principles that prescribed that, actions to be taken when trying to solve particular situation should depend on the characteristics of the situation. This theory holds that appropriate managerial action and decision depend on the situation at hand and not as universal view holds. Which says the same managerial principles should be apply to every situation.

Contingency theory holds that for organization to function effectively and efficiency, managerial actions and decision should be based or depended upon the task and environment, the organization is interacting with.

**Bureaucratic Management Theory**

This theory is based on the work of prominent German sociologist Max Weber. Who argues on the need for organization to operate in a rational manner rather than relying on the directive or desire of the owners or manager. This theory supports the need to follow the lay down principles in discharging organizational duties and responsibilities.

Weber further pointed out that running an organization on the bases of favouritism, tribalism and nepotism etc. interfere with organization efficiency and performance. Emphasis of this theory is that, they should be fairness and justice in discharging organizational activities; rules and regulation should guide activities; lay down policy should direct decision making; employment and promotion should be on merits.

Major characteristics Weber's ideal Bureaucracy are:

1. Specialization of Labour  
Jobs should be broken down into smaller well defined task and each member is given a portion to perform so that they become very competent at it.
2. Formal rules and procedures.  
Rules and procedures should be in written so that desired behaviour from members is specified,
3. Impersonality

Where the need arise Rules and punishment should be applied uniformly on individuals who erred regardless of that individual's personality and personal consideration.

4. Well defined hierarchy

They should be formal structure that shows the relationship, responsibility and division in an organisation as well as channel of communications.

5. Career advancement based on merit.  
Recruitment, selection and promotion should be based on one's qualification and performances.

### **Management science theory**

It is the theory that encourages the application of quantitative techniques such as Linear programming (simplex and graphical method, transportation and assignment model) network model, decision tree etc. to assist manager in making effective decision. Management science is an approach aimed at increasing decision making effectiveness through the use of sophisticated mathematical models and statistical methods

**Scientific management theory**

This is the theory that emphasises the application of scientific methods to increase individual workers' productivity. It is an approach within classical view point that focuses on the scientific study of work method in order to improve workers efficiency. Fredrick Winslow Taylor, considered as the father of scientific management an engineer by background Frank and Lillian Gilbreth. He (Fredrick Winslow Taylor) as a labourer and later promoted to be chief engineer gave him an opportunity to observe and then handled so many serious problems of workers which he called as "soldiering" which is deliberately working at less than full capacity. Taylor believed that workers engage in soldiering for three reasons:

1. They fear that working at full capacity or increasing their productivity would cause them or other workers lose their jobs.
2. Inadequate or faulty wage systems set up by management encourages workers to operate at a slow pace.
3. The general method of work and rule of thumb handed down from generation to generation were often inefficient.

According to Taylor managers could resolve the problem of soldiering by developing a

- a) Scientifically study each parts of an activity or task to be performed and develop the best method for performing the task.
- b) Carefully select workers and train them to perform the task by using the best developed method.
- c) Cooperate fully with workers to ensure that they use the scientific method.
- d) Divide work and responsibility so that management responsible for planning work method uses scientific principles and workers responsible for executing the work do so accordingly using scientific method.

From his work Taylor developed a method now known as time and motion study, time and motion study. Is the type of study that involves breaking down the work task into various elements or motions and then eliminating all unnecessary motions and then designing the best way of doing the job and then timing each motion to determine the productivity that could be produced each day.

In an effort to solve the problems of faulty wage system that encourages soldiering, Taylor advocated the use of wage incentive plan called differential rate system which he said workers should be paid 30 to 100 percent higher wages if used the scientifically developed work method and for attaining daily standard.



## **Administrative management theory**

The proponent of this theory was Henry Fayol. His theory focuses on principles that could be used by managers to co-ordinate the internal activities of organisations. The theory tended to focus attention on the central organisation instead of viewing it from individual point of view. This theory pointed out that the best way of improving the central organisation is to design the responsibility of managers in such a way that it could improve their management practices; this could be achieved by drawing up a frame work that would guide managers toward increasing organizational efficiency and effectiveness.

The very general principles of management that Fayol advocated to achieve that are:

1. **Division of labour:** Work should be assigned based on individual specialization and cognate experiences or background in order to reduced boredom and fatigue. Specialization increases output by making employees more efficient.

2. **Authority:** Managers are expected to give order along with authority and responsibility. Formal and informal authority in the organisation should be spelt out based on individual experiences, technical expertise, and ability to lead and stimulate more commitment from the subordinates. Managers must be able to give order and authority gives them this right. Along with authority, however, goes responsibility.

3. **Discipline:** Rules and Regulations Governing the affairs of the organisation should be obeyed by all workers. And so erring workers should be corrected or punished accordingly. Employees must obey and respect the rules that govern the organization.

4. **Unity of Command:** No employee should receive order from more than one superior in order to void dual command and conflict, because dual command misguide the employees, disregards orders and discipline and destroys the formal order of authority.

5. **Unity of Direction:** Those operation and activities that have the same objectives should be directed by one manager using one plan. E.g. production activity should not be given two managers. The organization should have a single plan of action to guide managers and workers

6. **Subordination of individual interest to the General Organisational interest:** The interest of individual worker should not be above the interest of the organisation as a whole. The interests of any one employee or group of employees should not take precedence over the interests of the organization as a whole.

7. **Remuneration:** Employees should be paid an equitable wage rate that matches their individual effort and responsibility, the administration of reward system like bonus, profit sharing plan, and rewarding a well desired behaviour should be encourage to motivate the employees in order to improve their performance and general productivity of the organisation. Workers must be paid a fair wage for their services.

8. **Centralization:** Responsibility should be proportionally distributed be it at the central or decentralized level. This simply means authority should not be concentrated at the top level

of the organizational hierarchy. This term refers to the degree to which subordinates are involved in decision making.

9. **Scalar chain:** This implies the movement of communication should follow defined process from top to bottom or from bottom to the top. Except under critical situation this should not be by-passed.

10. **Order:** This implies they must be orderliness in the organisation. People and material be located at the right place and position at the right time. They should be logical arrangement in the right place at the right time.

11. **Equity:** they should be high degree of justice and fairness by managers when dealing with their employees. That is all organizational members should be treated fairly in the course of discharging their duties. Equity makes the employees to be devoted and loyal to the organisation. Managers should be kind and fair to their subordinates.

12. **Stability of tenure of personnel:** Management should provide job security for the employees in order to put in their best. Opportunity should be made available for employees to work till retirement period in order to develop and advance in career. Management should provide orderly personnel planning and ensure that replacements are available to fill vacancies.

13. **Initiative:** Employees should be allowed to use their creativity and initiative in discharging their duties. Giving the employees the ability to act independently is a source of creativity and innovation in the organisation. Employees who are allowed to originate and carry out plans will exert high levels of effort.

14. **Esprit de Corps:** Team work and cooperation among the employees is the basis of unity and strength in any organisation. Hence managers are encouraged to develop the atmosphere that will encourage team work and cooperation always. Promoting team spirit will build harmony and unity within the organization.

#### **Human Relation Theory**

This theory emphasizes improving management practices through an understanding of the psychological makeup of people. It is a management or organizational theory that places emphasis on the importance and complexities of human being and devotes much attention to reconcile the organizational objectives and workers needs. To this theory, it is only when human needs are satisfied that the organization can function effectively and efficiently. Example of such theories are found in human relation motivational theories of Abraham Maslow and Douglas McGregor's theories X and Y.

Maslow developed a motivational theory that was based on three assumptions about human nature. These assumptions are

- Human beings have needs that are never completely satisfied.
  - Human activities are aimed at fulfilling the need that is unsatisfied.
  - The needs are in hierarchy.
1. Self actualization (Highest)
  2. Esteem
  3. Belongingness

#### 4. Safety

#### 5. Physiological (lowest).

Abraham Maslow pointed out that, Man's behavior is seen as dominated by his unsatisfied needs and he is a 'perpetually wanting animal', for when one need is satisfied he aspires for the next higher one. This is, therefore, seen as an ongoing activity, in which the man is totally absorbed in order to attain perfection through self-development.

The highest state of self-actualization is characterized by integrity, responsibility, magnanimity, simplicity and naturalness. Self-actualizers focus on problems external to themselves. His prescription for human salvation is simple, but not easy: 'Hard work and total commitment to doing well the job that fate or personal destiny calls you to do or any important job that "calls for" doing'.

Douglas McGregor propounded a theory called theory X and Y that has two different assumptions about human beings.

**Theory X Assumption**  
Theory X assumes that people are lazy; they hate work to the extent that they avoid it; they have no ambition, take no initiative and avoid taking any responsibility; all they want is punished. This is the so-called 'stick and carrot' philosophy of management. If this theory were valid, managers will have to constantly police their staff, which they cannot trust and who will refuse to cooperate.

From the above facts he (Douglas) advised that man must be pushed to perform and that economic reward in form of money will, serve as a useful weapon in motivating Man, to achieved meaningful goal he advises, man requires strict supervision and control. Thus, managers who accept theory X lay important emphasis on discipline supervision and control.

**Theory Y assumption**

This is in sharp contrast to theory 'X'. McGregor believed that people want to learn and that work is their natural activity to the extent that they develop self-discipline and self-development. They see their reward not so much in cash payments as in the freedom to do difficult and challenging work by themselves. The managers' job is to 'do what' the human wish for self-development into the organizations need for maximum productive efficiency. The basic objectives of both are therefore met and with imagination and sincerity, the enormous potential can be tapped.

From the above facts McGregor maintained that man should be given enough freedom, independence and opportunity to used his/her creativity he stressed that average men excels in his duty if property mobilized, and strengthened through giving of opportunity, recognition and high morals.

**CENTRALISATION AND DECENTRALISATION**

**Decentralization** is defined as the extent to which authority is passed down to lower level in an organisation. It comes about as a consequence of manager delegating work to lower level. In a relatively decentralized organisation, considerable authority and accountability are passed down the organisation hierarchy. It is the tendency to disperse decision-making authority in an organized structure. It requires careful selection of which decisions-making down into the organisation structure and which to hold near the top, specific policy-making to guide the decision making, proper selection and training of people, and adequate controls. A policy of decentralization affects all areas of management and can be looked upon as an

essential element of a managerial system. Without decentralization managers could not use their discretion to handle the ever-changing situations they face.

**Centralization:** is the extent to which authority is retained at the top of the organisation. It means the decision making authority is located at the top of the organizational hierarchy. Centralized company can coordinate activities in a consistent way across diverse units of department of the organisation

**Factors That Determine the Degree of Decentralization or centralization of Authority in an organisation**

**Costliness of the decision to be made:** one of the overriding factors determining the extent of decentralization is cost. As a general rule, the more costly the action to be decided on, the more probable it is that the decision will be made at the upper level of management. Cost may be calculated directly in naira and kobo or in such intangibles as the company's reputation, its competitive position, or employee's morale. Quality control in drugs manufacturing, where a mistake might endanger lives, not to talk of the company's reputation would normally be report to a high level, while quality inspection in toy manufacturing might report to a much lower one.

**Desire to maintain uniform policy:** an organisation that values consistency above all would invariably favor centralized authority, since this is the easiest road to such a goal. They may wish to ensure that customers be treated equal with respect to price, credit, delivery and service, many companies encourage variety in all except major matters, hoping that out of such non uniformity may come managerial innovation, progress, competition among organizational units improved morale and efficiency, and a supply of promotable managers.

**Size and character of the organisation**  
the larger the organisation, the more decision to be made, and the more places in which they must be made, the more difficult it is to coordinate them.

Hence the desirable it is to adopt decentralization of authority. In other word, the cost of large size may be reduced by organising an enterprise into several units, such as product or territorial divisions. Efficiency may be increased by making the unit small enough for its top executives to be near the point where decisions are made. This makes speedy decision possible, keeps executive from spending time coordinating their decision with many others, reduces the amount of paperwork, and improves the quality of decision by reducing them to manageable proportions. For the character of the unit, for decentralization to be thoroughly effective, unit must possess a certain economic and managerial self-sufficiency.

**History and culture of the enterprise.** Whether authority will be decentralized frequently depends on the way the business has been built. Those enterprises that grow from within may be tended to keep authority centralized. But enterprises that result from merger and consolidation are likely to show at least at first a definite tendency to retain decentralized authority especially if the unit acquired is already operating profitably.

**Management philosophy:** the character and philosophy of top executive have an important influence on the extent to which authority is decentralized. Sometimes top managers are despotic, tolerating no interference with the authority they jealously hoard. At other times, top managers keep authority not merely to gratify a desire for status or power but because they simply cannot give up the activities and authority they enjoyed before they reached the top or before the business expanded from an owner manager shop.

In many cases, top managers may see decentralization as a way of organizational life that takes advantages of the innate desire of people to create, to be free, and to have status. Many successful top managers find in it a means to promote the desire for freedom to economic efficiency.

**Desire for independence:** individual and groups often desire a degree of independence from bosses who are far away. Thus, sometime they may be hostile toward directive coming from the top managers who are believed not to know departmental condition. At other time they may become frustrated by delaying in getting decision by long line of communication. This frustration can lead to loss of good people to less competent ones. If that is true to be as a result of decentralization, centralization may be better option.

**Availability of managers:** a real shortage of manager would limit decentralization of authority. Since in order to delegate superior must have qualified manager to whom to give authority. But too often the scarcity of good manager is used as an excuse for centralizing authority.

**Control techniques:** Another factor affecting the degree of decentralization is the state of development of control technique. A good manager at any level of the organisation cannot delegate authority without having some way of knowing whether it will be used properly. Because some managers do not know how to control they are unwilling to delegate authority. They may think that it takes more time to correct a mistake than to do the job themselves.

#### **Advantages and Disadvantages of Decentralization of authority**

1. Relieves top managers of some heavy burden of decision making.
2. Encourages decision making and assumption of authority and responsibility.
3. Gives managers more freedom and independence in decision making.
4. Promotes establishment and use of broad control which may increase motivation.
5. Makes comparison of performance of different organisation unit possible.
6. Facilitates setting up of profit centers.
7. Facilitates products diversification.
8. Promotes development of general managers.
9. Aids in adaptation to fast-changing environment.

#### **Disadvantages:**

1. Makes it more difficult to have uniform policy.
2. Increase complexity of coordination of decentralized organizational units.
3. May result in loss of some control by upper-level managers.
4. May be limited by inadequate control techniques.
5. May be constraint by inadequate planning and control system.
6. Can be limited by the availability of qualified managers.
7. Involves considerable expenses for training, managers.
8. May be limited by external forces (labour union, government controls, and tax policies).
9. May not be favoured by economics of scale of some operation.

#### **Advantages and Disadvantages of centralization of authority**

### **Advantages:**

1. Makes it more ease to have uniform policy.
2. Decrease complexity of coordination experience in decentralized organizational units.
3. It gives total control to the upper-level managers.
4. May be enhanced by adequate control techniques.
5. May be enhanced by adequate planning and control system.
6. Does not requires many qualified managers.
7. Involves less expense for training, managers.
8. May be enhanced by external forces (labour union, government controls, and tax policies).
9. May be favoured by economies of scale of some operation.

### **Disadvantages:**

1. Top managers are over burden by so many decisions making activities.
2. It does not Encourages decision making and assumption of authority and responsibility.
3. It gives managers little if any freedom and independence in decision making.
4. It does not Promotes establishment and use of broad control which may increase motivation.
5. Makes comparison of performance of different organisation unit difficult.
6. It does not encourage setting up of profit centers.
7. It discourages products diversification.

## CHAPTER FOUR

### Introduction

### FORECASTING

Business leaders and economists are continually involved in the process of trying to forecast, or predict, the future of business in the economy. Business leaders engage in this process because much of what happens in businesses today depends on what is going to happen in the future. For example, if a business is trying to make a decision about developing a revolutionary new automobile, it would be nice to know whether the economy is going to be in a recession or whether it will be booming when the automobile is released to the public. If there is a recession, consumers will not buy the automobile unless it can save them money, and the manufacturer will have spent millions or billions of dollars on the development of a product that might not sell.

The process of attempting to forecast the future is not new. Most ancient civilizations used some method for predicting the future. Today, computers with elaborate programs are used to develop models to forecast future economic and business activity. Contemporary models of economic and business forecasting have been developed in the last century. Today's forecasting models are considerably more statistical than they were hundreds of years ago when the stars, and other mystical methods, were used to predict the future. Almost every large business or government agency performs some type of formalized forecasting.

Forecasting in business is closely related to understanding the business cycle. The foundations of modern forecasting were laid in 1865 by William Stanley Jevons, who argued that manufacturing had replaced agriculture as the dominant sector in English society. He studied the effects of economic fluctuations of the limiting factors of coal production on economic development.

Forecasting has become big business around the world. Forecasters try to predict what the stock markets will do, what the economy will do, what numbers to pick in the lottery, who will win sporting events, and almost anything one might name. Regardless of who does it, most from the events

### CONCEPTUAL ISSUES IN FORECASTING



Stevenson, (2005) opines that forecasting is a statement about the future value of a variable of interest. It is act of determining the future value of activities by using some predefined set of data and variables in order to make a logical judgment and decision.

A planning tool that helps management in its attempts to cope with the uncertainty of the future, relying mainly on data from the past and present and analysis of trends.

Forecasting starts with certain assumptions based on the management's experience, knowledge, and judgment. These estimates are projected into the coming months or years

using one or more techniques such as Box-Jenkins models, Delphi method, exponential smoothing, moving averages, regression analysis, and trend projection. Since any error in the assumptions will result in a similar or magnified error in forecasting, the technique of sensitivity analysis is used which assigns a range of values to the uncertain factors (variables). A forecast should not be confused with a budget.

Estimate future trends by examining and analyzing available information.

It is the use of a numerate and logical system, incorporating judgment, values to evaluate the probabilities of future occurrences or outcomes.

#### **Features common to all forecasts**

A wide variety of forecasting techniques are in use. In many respects, they are quite different from each other, as you shall soon discover. Nonetheless, certain features are common to all, and it is important to recognize them.

1. Forecasting techniques generally assume that the same underlying causal system that existed in the past will continue to exist in the future. Thus, a manager cannot simply delegate forecasting to models or computers and then forget about it, because unplanned occurrences can wreak havoc with forecasts. For instance, weather-related events, tax increases or decreases, and changes in features or prices of competing products or services can have a major impact on demand. Consequently, a manager must be alert to such occurrences and be ready to override forecasts, which assume a stable causal system.

2. Forecasts are rarely perfect; actual results usually differ from predicted values. No one can predict precisely how an often large number of related factors will impinge upon the variable in question; this, and the presence of randomness, precludes a perfect forecast. Allowances should be made for inaccuracies.

3. Forecasts for groups of items tend to be more accurate than forecasts for individual items because forecasting errors among items in a group usually have a canceling effect. Opportunities for grouping may arise if parts or raw materials are used for multiple products or if a product or service is demanded by a number of independent sources.

4. Forecast accuracy decreases as the time period covered by the forecast that is the time horizon increases. Generally speaking, short-range forecasts must contend with fewer uncertainties than longer-range forecasts, so they tend to be more accurate.

An important consequence of the last point is that flexible business organizations—those that can respond quickly to changes in demand—require a shorter forecasting horizon and, hence, benefit from more accurate short-range forecasts than competitors who are less flexible and who must therefore use longer forecast horizons.

#### **Qualities of a good forecast**



The bottom line of every forecasting is to achieve a satisfactory level of result with minimum degree of errors, variance between the actual and forecast values. Thus, forecast is said to be good if it poses the following qualities;

1. Reliability: A good forecast is expected to be reliable by working consistently and producing a satisfactory result at all times.
2. The forecast should be timely. Usually, a certain amount of time is needed to respond to the information contained in a forecast. For example, capacity cannot be expanded overnight, nor can inventory levels be changed immediately. Hence, the forecasting horizon must cover the time necessary to implement possible changes. A good forecast is always expected to be defined within a reasonable time frame that will guarantee proper implementation and adjustments of possible changes. The time frame should be spelt out to allow adequate transformation of data and information meant for the forecast.
3. The forecasting technique should be simple to understand and use. Users often lack confidence in forecasts based on sophisticated techniques; they do not understand the circumstances in which the techniques are appropriate or the limitations of fairly crude forecasting techniques enjoy widespread popularity because users are more comfortable working with them.
4. The forecast should be in writing. Although this will not guarantee that all concerned are using the same information, it will at least increase the likelihood of it. In addition, a written forecast will permit an objective basis for evaluating the forecast once actual results are in.
5. The forecast should be accurate and the degree of accuracy should be stated. This will enable users to plan for possible errors and will provide a basis for comparing alternative forecasts.
6. Cost-effective: Cost is an essential element for judging the effectiveness and quality of a forecast. When the cost of a forecast supersedes its relative benefits, the forecast is regarded to be bad and good when its benefits supersede its relative costs.
7. Ability to be expressed in meaningful terms a good forecast should always be expressed in meaningful terms or units for easy understanding and application in any technique. When this quality is not well specified, it will affect the validity and reliability of the forecast. For instance, the terms can either be defined in units or monetary values base on the need and choice of the users.
8. Forecast should be in writing: A good forecast should be given in a written format in order to lend itself to an objective ground for evaluating the variability of errors once the actual results are obtained.

### Steps in forecasting

Forecasting involves the following steps;

1. Determining the intention of the forecast.

- ii. Establishing a time frame (horizon).
- iii. Selecting a forecasting technique.
- iv. Generate and analyse relevant data.
- v. Conduct the forecast.
- vi. Monitor and control the forecast.

#### Benefits of forecasting

The benefits of forecasting include;

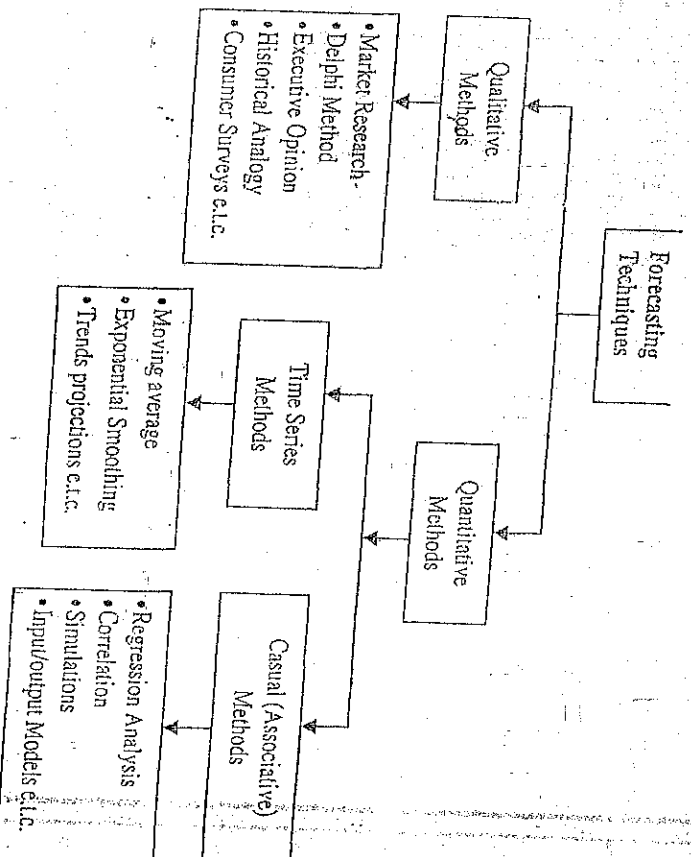
- It ensures that production planning activities are determined on the basis of realistic and dependable data.
- It serves as a base that directs the affairs and activities of production managers.
- It ensures that firms always maintain a balance stock level. In order to avoid the consequences of over-stocking or under-stocking.
- It tends to reduce operations cost by budgeting for resources only meant for immediate utilisation.

**Short-comings of forecasting**  
Despite, the benefits of forecasting, it is also identified with short comings which include;

- It limits individual dynamism and flexibility in as much activity is based on budgets.
- It consumes more time and is not easy to come by.
- It is costly in nature (i.e. the cost of running the forecast system its validity and reliability is prone to uncertainties in environment.
- It needs highly skilled and motivated workers to maintain the system.

### FORECASTING METHODS

There are two methods by which forecasting values are obtained the methods include; the qualitative and quantitative methods



### QUALITATIVE METHODS

These are methods that are intuitive and judgmental in nature. They are based on subjectivity of opinion because of lack of ready-made data and the difficulty of quantifying some variables and factors. The qualitative methods are appropriate for long-term forecast and are regarded as synthetic forecast because they capitalise on inputs that are obtained from judgments or subjective sources such as, Delphi method, Executive opinion, Sales force opinion and Estimates, Consumer surveys, etc.

**Delphi Method:** This method involves asking various experts what they anticipate will happen in the future relative to the subject under consideration. Experts in the automotive industry, for example, might be asked to forecast likely innovative enhancements for cars five years from now. They are not expected to be precise, but rather to provide general opinions. This method that uses the structured information generated from group of experts that are acting independently from their respective places. This option involves the circulation of questionnaires to those experts with varieties of knowledge to furnish the forward the questionnaires with answers base on their judgments regarding the issue at stake. The questionnaires are circulated at different times until a logical consensus is arrived at.

**Executive Opinion (panel consensus):** This is also another method that tends to generate data from small group of functional heads or upper level managers in order to develop the forecast collectively. This method is favourably disposed to the long-term planning because of the pool of ideas that are sourced from wide range of executives, despite the fact that some of the executives stand the chance of dominating others.

**Sales Force Opinion and Estimates:** This is the technique where salesmen or sales staffs serve as the interface for providing information regarding the market and customers as a result of their direct relationship and contact with the customers. The experience regarding customers' intentions and the quantity of the product sold in the market serves as the basis for their estimates and subsequently the forecast. The fact is that this approach cannot reveal in totality what customers intends to do and what they are doing presently in as much as their actions are governed and cannot reveal in totality where by different factors and experiences.

**Consumer Surveys:** This method is also regarded as survey of buyers' intentions. This method is used in soliciting for information from the consumers about their needs and expectations. Under this approach the buyers/users are the central points that are used in determining the quality they intend to purchase during a particular period. This method is helpful because it enables the search for information that is not readily available. The consumer survey on the other hand demands the employments of considerable amount of skill and knowledge in order to structure a good survey, the variations in customers' expectations and intentions also affect the smooth session of the survey. Finally, the method is only reliable when customers' or users' intentions are complimented with effective demand.

**Historical Analogy:** This is the technique that utilises the data that are readily available about a similar product whose data are limited and the trends are not clear. This method is good and ideal for forecast that involves medium and long-term planning. Historical analogy is used for products that are of close substitute or strong similarities.

## QUANTITATIVE METHODS

These are techniques that are also regarded as the analytical techniques because their projections are based on historical data and facts regarding particular variables of interest. These techniques are devoid of the subjective influences that stand the chance of

contaminating the qualitative methods. The quantitative methods are divided into two, namely; Time series method and casual (Associative) methods.

**Time Series Methods:** These are methods that are based on the series of data collected at certain interval regarding a phenomenon or specific areas of interest. The time series forecast is based on the premise of using the past data to project the future by using some models and techniques in order to smooth the random variations that are available in the data. Time series methods include; moving average, exponential smoothing, trends projections e.t.c.

**Casual (Associative) Methods:** These are the methods that are specifically designed to define one or more explanatory (independent) variables that are used in predicting a future phenomenon or a specific area of interest that is regarded as the dependent variable. These methods include; regression analysis, econometric model, input and output models, simulation etc.

#### **Time series forecast**

This is the forecast that is based on the set of previous data in order to predict the future. The data meant for this analysis are often generated at certain interval of time (i.e. weekly, monthly, quarterly, semi-annually and annually). The data collected can be used for instance in predicting; demand, sales, productivity, consumer price index etc.

The time series forecast are used in a situation where there are existing data for certain periods, and these trends are clear and stable. The time-series capitalises on historic data and its analysis gives a better result in the short term than in the long term forecast, despite the fact that it cannot be used in predicting the turning point in a trend and other variables that affect the series. The time series forecast is relatively in expensive especially when the data are readily available.

### **PATTERN AND COMPONENTS OF TIME SERIES**

The variability and pattern of time series are often reflected on the data generated from the sequence of observation at a given period. The time series forecast is identified with the following patterns; trends, seasonal variations, cycles, irregular variations, random variations.

**Trends:** These are the patterns and components that reflect long term downward and upward movement in data as a result of the influence of other factors. The factors that influence the changes in technologies etc, over a long period of time. However, trend lines are the beginning point of every forecast and they are normally adjusted to reflect the changing mix of events

## CHAPTER FIVE

### CONCEPT OF BUSINESS OBJECTIVE

The term objective has been defined as the Ends towards which activity is aimed. It is the end toward which planning, organizing, directing or leading, staffing and controlling are aimed.

Objectives are an important ends towards which organizational and individual activities are directed. In a typical organization objective states end results, and overall objectives need to be supported by sub-objectives. Thus, objectives form a hierarchy as well as network. Organizations and managers sometime have multiples objective that are incompatible and lead to conflict within the organizations within the group and within the individual. Managers have to reconcile and choose between which to pursue and personal interest must be submitted to organizational objectives. The most effective business objectives meet SMART criteria: where

S - Specific: be precise about what you are going to achieve

M - Measurable: the business can put a value to the objective, e.g. N10, 000 in sales in the next half year of trading.

A - Achievable: by all those concerned in trying to achieve the objective, e.g. N10, 000 in sales in the next

R - Realistic: the objective should be challenging, but do you have the resource to make the objective happen.

T - Timely: they have a time limit of when the objective should be achieved, e.g. by the end of the year

There are various guiding principles and foundation that shape the objective of business organization. The bases for setting organizational objectives include among others.

- **Innovation:** this is the act of creating new products and services with distinctive attributes or features from the existing products. In the same vein Kotler, (2000) (1968) also acknowledges that innovations could be in terms of products, services, skills and other activities required in producing a product.
- **Growth;** this is monumental increase in business activities. In other words, it is a general increase in the development of organization resources. For instance, a growth strategy may be set to increase the composition of the personnel where the strategy is focused towards product development.

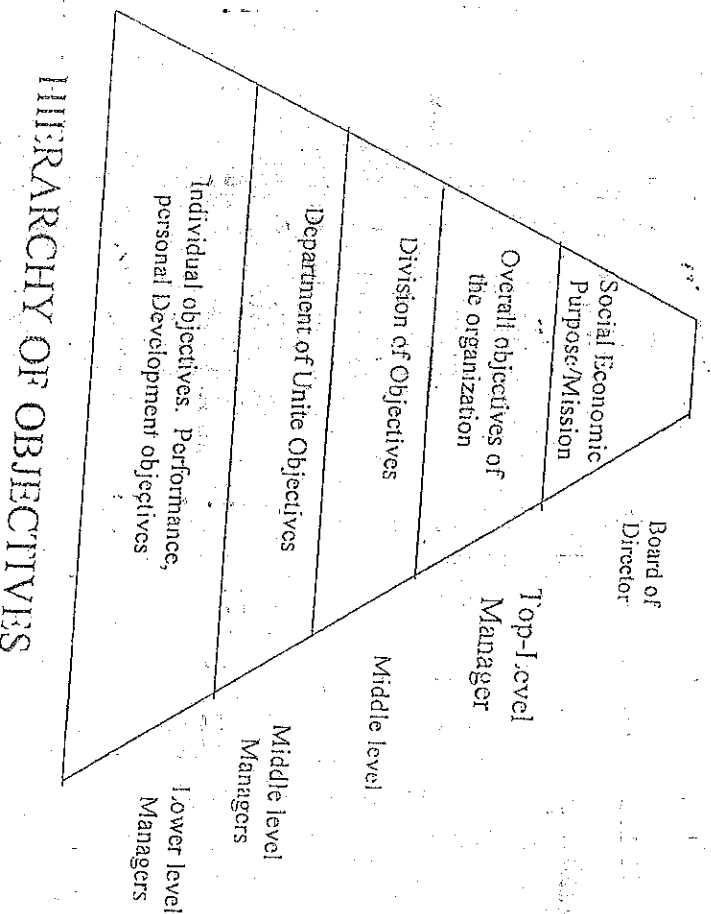
- **Diversification:** It involves spreading the organizational resources from the existing products or market to a new one. The diversification can either be in related product or entirely to an unrelated products, industry and markets as the case may be. For instance, a food processing industry moving into the production of toiletries or pharmaceutical products denotes diversification in unrelated chains of activities.
- **Profit:** this is the classical model that governs the production of goods and services. In light of this, most firms use this as the basis for their survival, which might not be the primary aim for the social entrepreneurship business where the profit is not their guiding block.

## LEVELS OR HIERARCHY OF OBJECTIVES

Within a typical organization, objectives form some kind of hierarchy. In other words, each unit contributes to the objective of the higher unit. And a broad objectives state the purpose of the entire organization. This is line of all organizations. In effect, there are organizations is to view it as a means end chain.

In the hierarchy of objectives each level is to be considered as an end relative to the levels below it and a means relative to the levels above it.

Just as management is in levels, top, middle and lower, so also are objectives. Hence objectives exist in a hierarchy according to their relative importance. The hierarchy begins at the top with broad overall objectives and ends with those that are more specific objectives arranged in this manner so that each sub-objective contributes to the achievement of its immediate higher objectives.



## Network of objectives

Objectives most form a network just as they form a hierarchy if the objectives of management programme are not inter-connected and mutually supportive, managers may tend to pursue individual goals that can often be detrimental to the firm. So a network of programmes guided by specific objectives requires the at most co-operation and coordination among managers.

### Uses of objectives:

1. Objectives are a guide to development of specific action plan.
2. It is use as standard for measuring performance.
3. It serves as direction, purpose and meaning to the operation of a firm.
4. It is use as the key criteria on which all other decision are based and evaluated.
5. It is a means of pursuing the vision and mission of the organization.

### Characteristics of Objectives

Objectives have to be meaningful to the individual using them and to be that meaningful they must have certain characteristics. Some of which are:

- i. **Relevance:** Are the objectives related to and supportive of the basic purpose of the organization?
- ii. **Productivity:** Does the objectives recognized obvious constraints?
- iii. **Challenge:** Does the objectives provide a challenge for all managers at all the levels in the organization?
- iv. **Measurability:** Can the objective be quantified if only in an order of importance ranking?
- v. **Schedule-ability:** Can the objective be scheduled and monitored at interim points to ensure progress towards their attainment?
- vi. **Cost Effectiveness:** Are the objectives cost effective in that the anticipated benefits clearly exceed the expected cost.
- vii. **Growth:** Do the objective point towards the growth of the organization rather than toward mere survival.
- viii. **State of the art:** Do the objectives fall within the current boundaries of technological development.

### Meaning of Policy

The term policy has been defined in many ways by different authors. Werhrich & Koontz (2004) define policy as a general statement or understanding that guides managers thinking in decision making. Policy ensures that decision fall within certain boundaries. It refers to specific guidelines, methods, procedures, forms, and administrative practices established to support and encourage work toward stated goals. It is an instrument for strategy implementation. Policies set boundaries, constraints and limits on the kinds of administrative actions that can be taken to reward and sanction behaviours or decision making. It set up boundaries around decision, telling managers which decision can be made and which cannot.

It is a broad guideline for management action formulated by the members of top management.

It defines the area in which decisions are to be made but it does not give the decision. Policies may be in written form or oral form. But to avoid the problems of frequent misunderstanding of the policy statement policy should be in written form.

It is a guide to action and thinking in an organization so that whatever that is done in any unit within the organization is consistent throughout the organization.

The set of basic principles and associated guidelines, formulated and enforced by the governing body of an organization, to direct and limit its actions in pursuit of long-term goals.

## **TYPES OF BUSINESS POLICY**

There are several types of Business policies being followed in the Business Environment. These are:

### **1. Corporate or company policy**

Usually, a documented set of broad guidelines, formulated after an analysis of all internal and external factors that can affect a firm's objectives, operations, and plans. Formulated by the firm's board of directors, corporate policy lays down the firm's response to known and implementable situations and circumstances. It also determines the formulation and firm's officers in achievement of its objectives.

### **2. External Policies:**

Policies framed to give effect to the decisions of the Government, judiciary, trade associations and such other external forces are what are called external policies. For example, under the Income-Tax Act, every employer is bound to deduct tax from the salary payable to the employees every month. Similarly, the Government requires certain number of jobs to be reserved for the backward sections of the society. To give effect to such orders, policies may be formulated at the enterprise level.

### **3. Internal Policies:**

Policies formulated to give effect to certain decisions taken by the owners of a business establishment are what are called internal policies. For example, it may be the policy of a certain private sector organization to appoint certain categories of workers purely on contract basis. Similarly, a business organization may adopt a policy to produce only for the foreign market.

### **4. Appealed Policies:**

Such policies are formulated to give effect to the suggestions of the staff of an organization. For example, the employees may make an appeal to the top management to give employment to an eligible member of an employee's family after the latter's retirement. If such a proposal is acceptable to the management, the same may be announced as a policy.

### **5. Explicit Policies:**



Those policies of an organization that are stated outwardly are called explicit policies. Such policies form part of the organization manual. Most of the policies of an organization are explicit in nature. The sales policy, credit policy, etc., may be cited as examples.

#### 6. Implicit Policies:

These policies are not stated outwardly. For Example, every organization follows certain policy for the recruitment of employees. Such a policy is not usually stated explicitly. Even the existing employees may not be aware of it.

Read more: <http://www.businessdictionary.com/definition/corporate-policy.html#ixzz2OYhJhMYt>

Read more: <http://www.businessdictionary.com/definition/policy.html#ixzz2OYkjt7E>

#### Advantages of Policy

1. Definition of mission.
2. Guide planning and cause of action
3. It deals with assignment of responsibility and concurrent delegation of authority at all levels this limits the free exercise of initiation
4. It provides the basis for the evaluation of managerial decision making.
5. It is an instrument for strategy implementation.
6. It let employees and managers know what is expected of them at any point in time.
7. It provides a basis for management control and allows coordination across organizational units.
8. It clarifies what work is to be done and by whom.